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Project Pluto

Draft Financial due diligence report

11 November 2024

PRIVATE AND CONFIDENTIAL

Draft report for information only.

This draft report has been issued to you in advance of the completion of our work and is accordingly subject to revision and alteration.

You should not rely upon its contents. It may not refer to all material matters and available information within the scope of our work and we reserve the right to delete, add to or otherwise amend its contents.

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Midland Microfin Ltd
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Dear Sirs

In accordance with your instructions, confirmed in our engagement letter dated August 24, 2024 (the "Engagement Letter"), we have prepared this report on IDF Financial Services Private Limited (the "Company"/"Target"/"IDF FSPL"). We draw your attention to the scope described in Appendix 1 and to the limitations in our scope described in Appendix 2.

This report is addressed to and intended for the use of the addressee only in connection with the proposed transaction. Save as expressly provided for in our engagement letter, it is not to be referred to or quoted, in whole or in part, in any other context without our prior written consent.

This report is based on the latest information made available to us as at the completion of our work on 6 November 2024 and we have not updated our work since that date. We accept no responsibility to update it for events that take place after the date of its issue.

We prepared this report from information supplied by and from discussions with the directors, Management and employees of the Company. We have not verified the accuracy, reliability or completeness of the information supplied and the procedures that we used to perform the work did not constitute an audit or review made under any generally accepted auditing standards. We emphasise that our enquiries would not necessarily disclose all matters of significance to you relating to the Company.

This report was prepared on the specific instructions of Client solely for the purposes of the proposed transaction and should not be used or relied for any other purpose. If unauthorised persons choose to rely on any of the contents of this report, they may do so at their own risk. This report includes information not available to the public, accordingly, this report is strictly confidential, and no part thereof may be reproduced or used by any other party other than Client for its intended use.

The decision as to whether to consummate the transaction lies solely with Client and our findings or other work shall not in any way constitute a recommendation as to whether Client should or should not consummate this transaction or the price or other terms upon which this transaction should be consummated. Client's Management shall be fully and solely responsible for applying independent business judgment with respect to the services and work product provided by us, and to determine further courses of action with respect to any matters addressed in any services, reports or other work product or deliverables to Company.

If you require any clarification or further information, please contact Akhilesh Pander on +91 9004088800, akhileshpandey@bdo.in, Hashikesh Bhammar on +91 9820051337, hashikeshbhammar@bdo.in or Alok Shah on +91 9773534974, alokshah@bdo.in.

Yours faithfully

DRAFT

BDO India LLP

Messages

Notice to any person not authorised to have access to this report

No reliance unless reliance letter executed

Any person who is not an addressee of this report or who has not signed and returned to BDO India LLP either a “no-reliance” or an “assumption of duty” release letter is not authorised to have access to this report. We do not accept or assume responsibility to any unauthorised person to whom this report is shown or any other person who may otherwise gain access to it. If any unauthorised person chooses to rely on the contents of this report, they do so entirely at their own risk. Should any unauthorised person obtain access to and read this report, such person accepts and agrees that:

- This report was prepared in accordance with instructions provided by the addressees exclusively for the sole benefit and use of each of them and such other parties whom we expressly agreed in writing may have the benefit of, or rely upon, our work.
- BDO India LLP, its partners, employees and agents neither owe nor accept any duty or responsibility to the reader, whether in contract or in tort (including without limitation, negligence and breach of statutory duty), or howsoever otherwise arising. We make no representations regarding this report or the accuracy of the contents including that the information has not changed since the date of this report. We shall not be liable in respect of any loss, damage or expense of whatsoever nature which results from any use the reader may choose to make of this report, or any reliance the reader may seek to place on it, or which is otherwise consequent upon access to this report by the reader.
- The results and findings of the procedures performed are presented in this report. However, these procedures do not constitute an audit and, had we performed additional procedures or conducted an audit in accordance with generally accepted auditing standards, other matters might have come to our attention, which we would have reported to you.
- Our work was restricted to the financial statements of the Target Company and other information provided by the Target Company. The financial statements are the responsibility of Target Company’s Management. In this regard, Management is responsible for proper recording of transactions in the accounting records and maintaining an internal control structure to permit the preparation of reliable financial statements.
- This report is not to be referred to or quoted, in whole or in part, in any other document or made available to any third party, without our prior written consent.
- Our report makes reference to BDO analysis, which represents certain analytical activities performed on the underlying data to arrive at the information presented, we do not accept the responsibility for the underlying data.
- We have provided reference within our summary the sources of information presented. Please note that we have not sought to establish the reliability of these sources by reference to independent evidence. We have analyzed the information made available and to the extent possible, have satisfied ourselves that the information presented is consistent with others information provided to us during the course of our work.

Context of our review

Sources of information

- Audited financial statements for the financial years ended 31-Mar-22, 31-Mar-23 and 31-Mar-24
- Provisional unaudited financial statements for the period ended 30-Jun-24
- Monthly loan data tapes from 30-Apr-21 to 30-Jun-24
- Disbursement dump for the review period
- Branch wise due vs collection data for the review period
- Data pertaining to written off loans during the review period
- Loan account wise settlements via federation from Apr-23 to Jun-24 and savings balances for loans outstanding as on 30-Jun-24
- Month on month details of loan balances settled via federation for the review period.
- Monthly Interest income dump and interest income reversal dump for the review period
- Sample borrowing agreements, sanction letters and repayment schedules
- Monthly payroll registers for the review period
- Summary of income earned on BC portfolio for the review period.
- Expense dumps for key other expenses for the review period
- Copy of agreements with BC partners.
- Minutes for board meetings, AGM

Report tables

- Unless otherwise indicated, the numbers presented in this report have been rounded to the nearest million; therefore, some tables may contain small rounding differences.

Key discussions

- We have had meetings and discussions with the following directors and Management:
  - Mr. N.M. Patil - (Managing Director)
  - Mr. Basavaraj Alagawadi - (Head – Accounts)
  - Mr. S.C.Sangapur - (Head – Information Technology)
  - Mr. A.B.Magadum – (Head – Finance)
  - Mr. Chandrashekar S. Yallur - (Head – Audit)
  - Mrs. Karuna Ramesh – (DGM – Finance)
  - Mr Abhinav Sharma – (External consultant)
  - Mrs Aanchal Jain – (External consultant)
- All the financial information required for the purpose of due diligence was shared through virtual data room (majority) and emails (to a limited extent) between 30-Jul-24 to 6-Nov-24.
- We visited their office in Hubli from 11-Sep-24 to 13-Sep-24 to obtain understanding of the business operations and discussion of queries on the data shared by Management.
- Post our visit, we have had multiple virtual meetings and discussions with the Management for information requests and query resolutions.

Definitions, abbreviations and glossary of terms

Abbreviation	Meaning
	Hyperlink to contents page
AGM	Annual General Meeting
AUM	Asset Under Management
BC	Business Correspondent
Bijli	Business Information Justified and Logically Integrated
c.	Close to
CGS MFI	Credit Guarantee Scheme for Micro Finance Institution
Client	Midland Microfin Ltd
CRAR	Capital to Risk Asset Ratio
DPD	Days Past Due
DTA/DTL	Deferred Tax Asset/Liability
EBIDTA	Earnings Before Interest, Depreciation, Tax & Amortization
ECL	Expected Credit Loss
FLDG	First Loss Default Guaranteed
FOIR	Fixed Obligation to Income Ratio
FYXX	Financial Year 1 April XX to 31 March XX
HO	Head Office
IDBI	Industrial Development Bank Of India
IDF FSPL	IDF Financial Services Private Limited
INR mn	Indian National Rupees in millions

Abbreviation	Meaning
IT Act	Income Tax Act, 1961
Jana	Jana Small Finance Bank
JLG	Joint liability group
KMPs	Key Managerial Personnels
LMS	Loan Management System
Management	IDF Financial Services Private Limited
NQ	Non-Quantifiable
PAR	Portfolio At Risk
PAT	Profit After Tax
PBT	Profit Before Tax
POS	Portfolio Outstanding
ROA	Return on Asset
ROE	Return on Equity
ROI	Return on investment
Target/ Company	IDF Financial Services Private Limited
TDS	Tax deducted at Source / Withholding tax
VAT	Value Added Tax
WDV	Written Down Value
YTD25	Year-to-date ending 30 June 2024 (Period from 1 April 2024 to 30 June 2024)

Contents

Section 1

Background

BACKGROUND

Shareholding pattern on fully diluted bases as at 30-Jun-24

Shareholding	Number of shares	% holding
IDF SHG Federation Dharwad	1,99,74,652	60.9%
Swavalambana Trust	15,00,000	4.6%
Mr. Vivekanand. N. Salimath	10,92,515	3.3%
Mr. Naganagouda M Patil	10,92,515	3.3%
Mr. T V Srikantha Shenoy	10,65,559	3.2%
IDF FSPL balaga welfare trust	9,02,147	2.8%
Other Individuals	71,76,327	21.9%
Total	**3,28,03,715**	**100.0%**

Source: Management information

Board of directors

Name	Designation
Mr. Vivekanand. N. Salimath	Chairman
Mr. Naganagouda M Patil	Managing Director
Mr. T V Srikantha Shenoy	Director
Mr. Gururaj M. Deshpande	Director
Dr. R. M. Kummur	Independent Director
Mrs. Kasturi Dambal	Director
Mr. G. Sahadev	Director

Source: Management information

Company Overview

- IDF Financial Services Private Limited (‘IDF FSPL’) is a private Company with its registered head office in Bangalore and administrative office in Dharwad. The Company provides micro finance loans for the benefit women borrowers, organized into joint liability groups, to provide them financial support. It is registered with Reserve Bank of India (‘RBI’) as a NBFC non-deposit taking Microfinance Intuition (‘NBFC MFI’) with the certificate of registration issued by RBI on 17th October 2013.
- The Company operates through Joint liability group (JLG) lending model consisting of 4-6 members and designates them as the ultimate guarantor of each of its members. Currently the Company has business presence in 3 states viz. Karnataka, Maharashtra and Goa and has 84 branches. The Company also sources customers acting as a BC for IDBI bank and Jana bank.
- As at 30-Jun-24, the Company had 82,386 loan account outstanding with an AUM of INR 2,660.8 mn (80% onbook and 20% sourced as a business correspondent (‘BC’)). The Company had 345 employees on their payroll as at 30-Jun-24.
- It uses Business Information Justified and Logically Integrated (BIJLI), a cloud based software, for loan Management to accounting. It is developed and maintained by Force Ten Technologies Kolkata.

LOAN PROCESS FLOW

Customer Onboarding

Customer selection criteria

- Following client selection criterion are applied at the Household (HH) level:
  - Women aged between 18-58 years, engaged in livelihood activities
  - Permanent residence should be within 30 kms of branch
  - Annual family income should not exceed INR 3 lakhs.
  - Customer should have default free credit history
  - EMI obligation of existing and proposed loan should not exceed 50% of monthly income

Customer visit and enrollment

- The Field executive filters the leads based on the customer selection criteria. Any rejections should be in discussion with Branch Manager. Once the lead is filtered, field executive visits the customers' house for enrolment.
- At the time of visit, the field executive collects the basic details of the household, KYC documents using Voter help line & Adhaar, checks credit bureau for all earning family members and computes repaying capacity of the family. Field executive shall also collect purpose, FOIR, amount and timing of the loan requirement of the household.

other checks

- Once submitted by the field executive, customers will be pulled to Compulsory Group Training (CGT) and Group Recognition Test (GRT).
- Negative client base (identified ring leaders, local politicians, goons, criminals)
- Ration card, Bank -pass book, electricity bill, driving license, NREGA Card etc. are secondary documents

Loans disbursement process

- Once CGT/GRT details are pulled branch manager will select the loan scheme and verify all the details mentioned by field executive such as tenure of loan, rate of interest, tenure, product type, etc.
- Once the loan is sanctioned the borrower is called at the branch for loan documentation purpose and the amount is disbursed through NEFT to the borrower's account. Loan amounts is transferred after verifying customers bank account details.

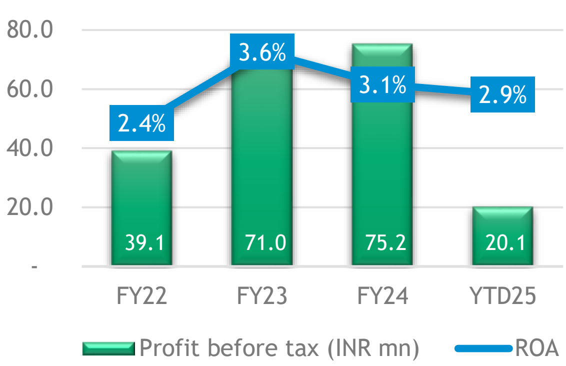
Collections

- Monthly collections is responsibility of CROs who does recovery from the mobile application. At every month end, demand list will be sent to all the branches and senior Management team.
- If CROs are able to recover money from the borrower, then they are required to mention detail in the mobile application which will post a recovery entry, and a system generated SMS will be sent to registered number of the borrower stating that outstanding amount has been received.
- Target has also registered as biller with BBPS which enables borrowers to repay via any UPI application.
- Admin staffs are allocated to follow up with the CROs to ensure that recovered amount is deposited in the bank. In case of holiday, such recovered amount is deposited in to branch locker and will be deposited in the bank next day.
- Overdue reports are generated by the Bijli software once collections dated are over. These reports are forwarded to Area managers/branch managers, and they follow up with CROs to ensure that such overdue amounts are received.
- In case, customer has fully repaid the loan then such loans can be closed by CROs using mobile application or customers can visit branch for loan closure.

KEY PERFORMANCE INDICATORS

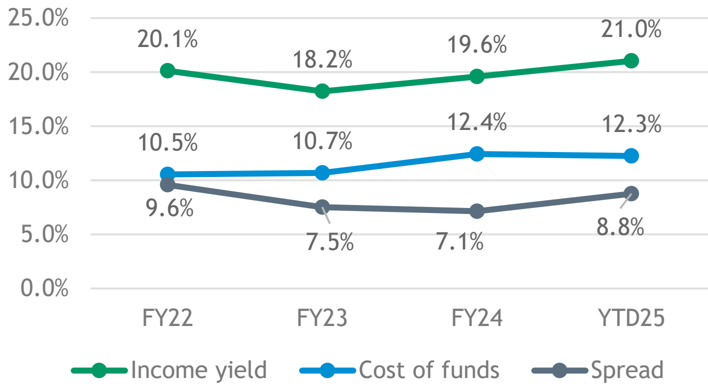
Provision as a % to closing POS was higher in FY22 driven by CoVID-19.

Return on assets



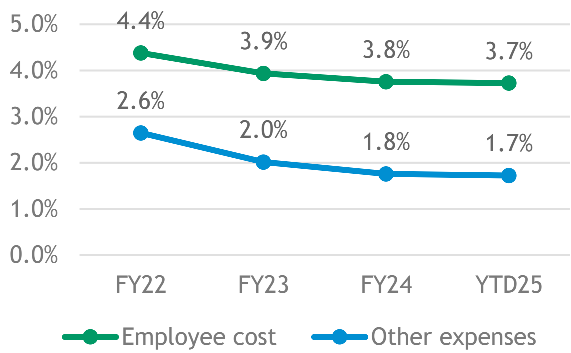
Return on assets = Profit before tax / 2 point average of assets

Income yield, cost of funds and spread



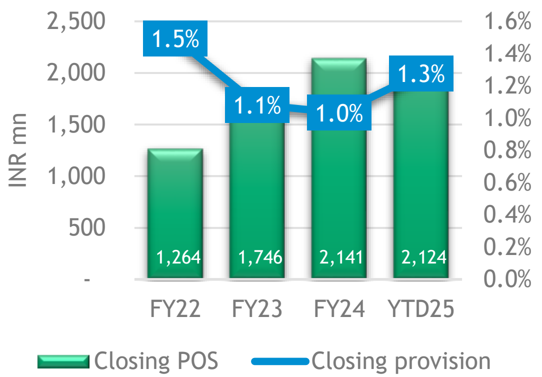
Income yield = Interest income on loans / Average 12 months own book POS
Cost of funds = Finance cost / Average 12 months borrowings
Spread = Yield on own portfolio – cost of funds

Employee and other expenses as % of AUM



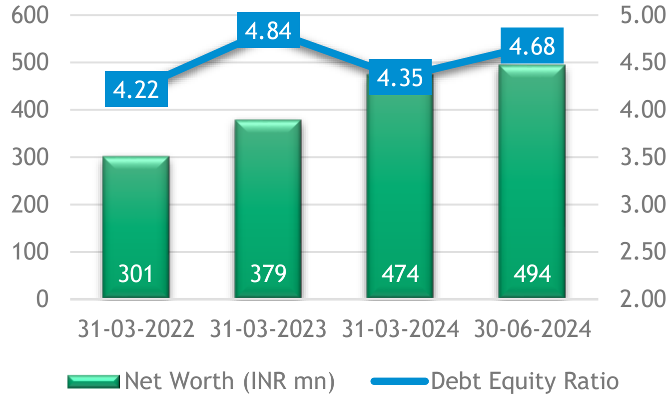
Employee cost = Employee cost / Average 12 months AUM (excluding loan to federation)
Other expense = other expenses / Average 12 months AUM (excluding loan to federation)

Closing provision as % to closing POS



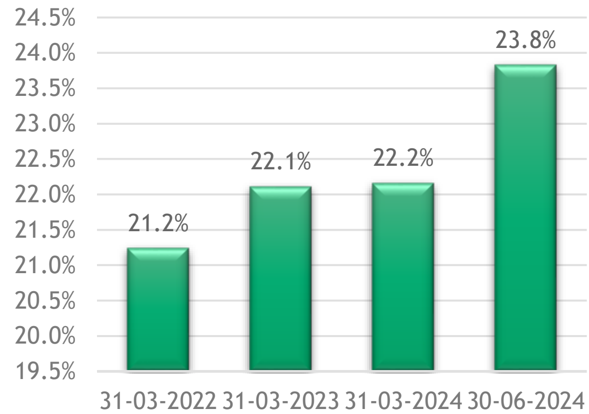
Closing provision = Closing provision /closing own book POS

Reported net worth and debt to equity ratio



Debt Equity ratio = borrowings / net worth

CRAR

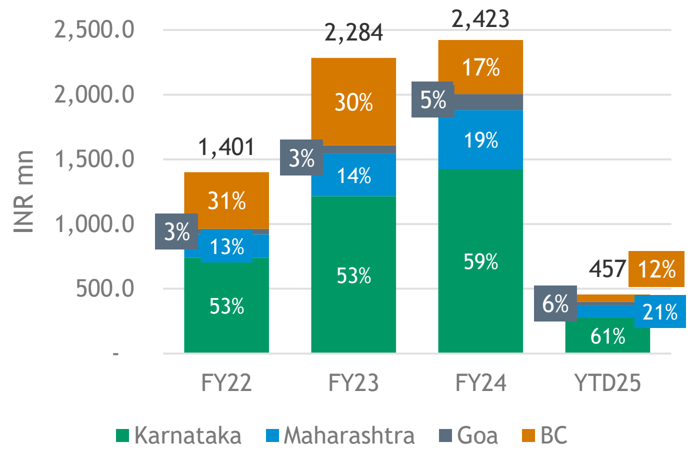


Source: Management information & BDO analysis

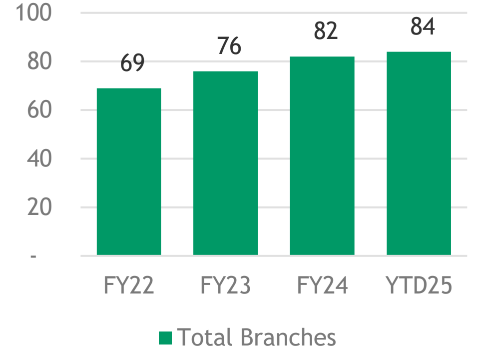
KEY PERFORMANCE INDICATORS

AUM and disbursements increased from FY22 to FY24 primarily driven by increase in branches. It further declined during YTD25 driven by (i) decline in BC disbursements (ii) deliberate slowdown of disbursement as a business decision; early signs of delinquency noted in non-stressed books.

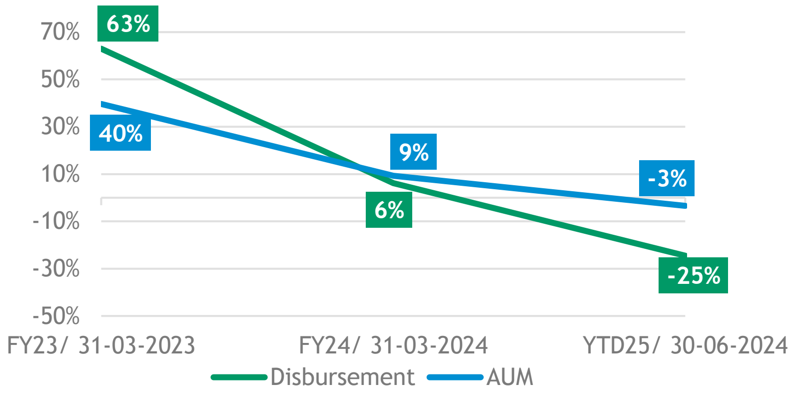
Disbursement mix and growth



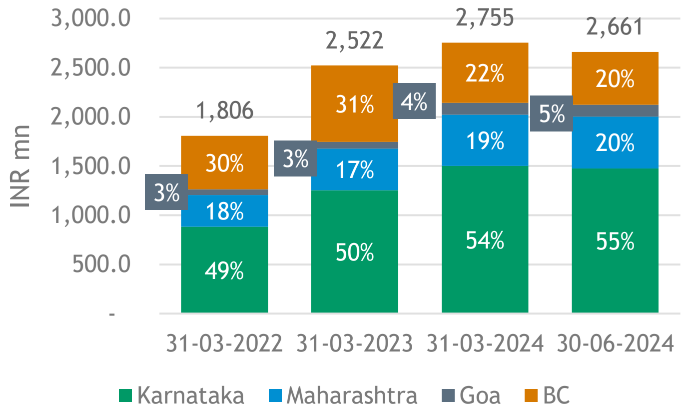
Growth in number of branches



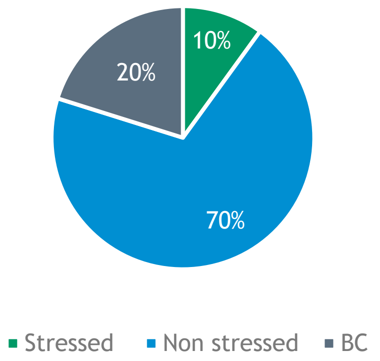
Disbursement & AUM Growth %



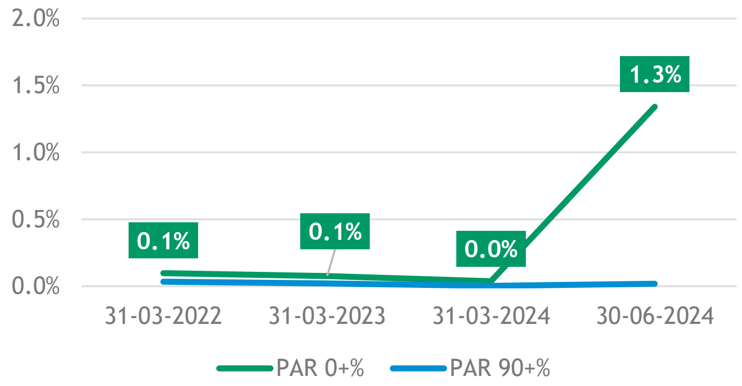
State wise AUM mix



AUM Mix as at 30-Jun-24



Non stress book PAR %



Note: DPD of stressed and BC book are not representative due to error in the data. Therefore, the same is not presented

Source: Management information & BDO analysis

QUALITY OF INFORMATION AND INTERNAL CONTROLS (1/3)

Book-keeping and accounting

- Book-keeping and financial functions are handled by 20-30 member finance team and accounts team, headed by Mr.Adiveppa B Magadum and Mr.Basavaraj K Alagawadi respectively.
- Target uses 'Bijli' as their loan origination system, loan management system and accounting software. It is used as an end-to-end lending platform that captures details of sign up, KYC details, credit assessment, disbursements, POS, collections and can be used for accounting and recording of transaction. The trial balance extracted from Bijli forms basis of preparation of financial statements.
- Management stated that they have a practice of quarterly closure of books.
- Target stated that reconciliation of the bank statement to loan dumps is carried out by the operations team on a monthly basis. The summary of such reconciliation is then traced to the bank statement by the finance team.
- Reconciliation of the outstanding loan portfolio, as per books and LMS, is carried out on a monthly basis by the Finance team.

Regulatory reporting

- Management stated that there have not been any RBI inspections during the review period.
- Management stated that the RBI returns have been filed regularly, as mandated.

Loans and advances

- For the purpose of our analysis, we were provided with the Loan ID wise loan tapes and disbursement tapes for the review period. For loans sourced as BC, we were separately provided with loan tapes, received by the Target from the banks for the purpose of our due diligence exercise. We were not provided with the details of pre-closed loans during the review period up to report date.
- Disbursements mentioned across the report represents total disbursement made during that period. We understand that a few 'stressed' borrowers, were given new loans after closing their existing loans in the system. While operationally only the incremental disbursements were released from the bank, the closure of such loans was recorded as collections and the new loan was entirely recorded as disbursement in the system. Disbursements in such cases should only be included to the extent of
- (Cont.) incremental disbursements. Since, we were not provided with details of such cases and incremental disbursements, we couldn't adjust the disbursements for the same and the disbursements presented in this report maybe inflated to that extent.
- We substantiated the disbursement amounts from the bank statement of the Target on a sample basis for 5 months (Aug-21, Feb-22, Nov-22, May-23, Jan-24) and identified some unreconciled differences. Refer Appendix 3 for further details
- We carried out a reconciliation of (i) the loan data tape with the financial statements and did not note any material variance in the same (ii) of Opening Balance + Disbursement – Collections = Closing Balance; We noted certain differences in the reconciliation for which no specific reasons were provided to us. Refer Appendix 4 for the reconciliation and differences.
- We were provided with the monthly loan data tapes from Apr-21 to Jun-24, extracted from Target's LMS. We obtained a walkthrough of Target's LMS & reviewed 10 accounts on a sample basis to corroborate the DPD, POS, EMI amount, etc. reported in the loan data tape. We didn't not note any material differences during the review period.
- Further, we had obtained loan files for 10 sample loan accounts and reviewed the documents such as the application form, income note, loan agreement, customer KYC, disbursement memo, statement of account etc. and validated the same with the loan tape and the credit policy.
- Management stated that loan level DPD is automatically calculated by the LMS based on due date of the latest unpaid (full or partial) installment on daily basis, without any manual intervention. The appropriation of collection is first towards interest outstanding, and the balance towards principal.
- We were provided with multiple versions of loan tapes with erroneous DPD resulting into multiple iterations in the data provided to us. Critical fields like FOIR, PAN, etc. were not provided. Further, we understand that there were significant manual interventions and updates to the system generated loan data.
- (a) In case of own book, we found 11,103 cases in 'stressed books' and 3,141 cases in 'non stressed books' (POS of INR 245.5 mn and INR 90.2 mn respectively as at 30-Jun-24) (b) in case of book sourced as BC, we found 13,838 cases (POS of INR 421.6 mn as at 30-Jun-24), where (i) the DPD was not increasing even when the customer had stopped paying her EMIs or (ii) erroneous DPD was being captured.

QUALITY OF INFORMATION AND INTERNAL CONTROLS (2/3)

- In case of 'non-stressed' book, Target explained that these were cases where the customer had paid advance EMI resulting in actual POS being lower than the POS as per the repayment schedule, and therefore the DPD didn't increase till the actual POS is higher than the POS as per repayment schedule. We have checked 5 SOAs on a sample basis to corroborate Targets explanation and no observation noted. The Management did not rectify the errors in the stressed book and BC DPDs; therefore, we have relied on the reported DPD for analysis where applicable.

Basis of book segmentation into 'stressed book', 'non-stressed book' and 'BC book'

- Target provided us with the loan level risk-category tagging for loans outstanding as at 30-Jun-24. Per Target, category A cases are those cases which are considered as 'non stressed' loans and category B & C cases are those which are considered as 'stressed'. We used these principal to bifurcate the book into 'stressed book' and 'non stressed book' at a customer level (i.e. if any loan of the customer is tagged as B or C, she is considered as a 'stressed' customer, and all her loans are tagged under the 'stressed book').
- Customers with no loan outstanding as at 30-Jun-24, for whom the above tagging was not available, were tagged stressed/ non-stressed by the Target; cases where Target had either provided facility of moratorium / restructuring / top up loans to the borrowers were considered as stressed. We identified few cases in category A that were provided facility of moratorium / restructuring / top up loans which we have shown separately under the 'non stressed book' ("Restructured")
- Further, members whose loans were partially settled by the federation are tagged separately. Target provided loan wise details of settlements by federation from 30-Apr-23 to 30-Jun-24, for loans outstanding as at 30-Jun-24. We have adjusted the DPD in these cases basis number of EMIs settled by the federation to represent PAR rates as at 30-Jun-24 had the federation not have settled those cases. Refer page 36 for further details.

Collection efficiency

- We were provided with the overall branch level summary of monthly due vs collection reports for the period under review. We substantiated the collection amounts from the bank statement of Target on a sample basis for 5 months (Aug-21, Feb-22, Nov-22, May-23, Jan-24). We were only able to partially substantiate collections.
- Since loan level collection details were not available, we could not corroborate the collection amounts at loan level.
- Target explained that it didn't provide collection efficiency at loan level as extraction of loan level details was time consuming and that they had provided branch level details as a substitute.
- We were not provided with the bifurcation of the collection and due amounts between principal and interest. Target explained that this level of bifurcation is not maintained in the system.
- We understand that a few 'stressed' borrowers, were given new loans after closing their existing loans in the system. We were not provided with details of such collections, hence couldn't adjust the collections for the same. The collections presented in this report maybe inflated to that extent.

Interest income

- We noted certain errors while reviewing interest reversal working shared with us. In few cases, interest was reversed for cases that had 0 DPD. Further, there were cases where customers turned NPA but interest income was not reversed. No specific reasons for this were provided to us as at report date. Due to this, yield and interest income reported may not be accurate.
- Target informed us that they provide moratorium of 45-60 days to the borrowers after loan is disbursed.
- Processing fees and penal interest charged is recorded on an upfront basis in the financials.
- Income on BC portfolio is determined on monthly basis as per the agreed terms. Target raises invoice to the BC partners which is typically done in the next month. We were provided month wise income earned on BC portfolio and no major observations noted.

Provisioning and Write offs

- Provision is carried out on entire on book portfolio as per RBI guidelines on NBFCs MFI.
- No provision is currently held for exposure on the BC book. FLDG deposit of INR 29.1 Mn is held with the BC partner banks. Per agreement, the risk will be restricted to the limit of FLDG provided. Refer page 34 for more details
- As per Target's write off policy, loans overdue for more than 180 days are written off. However, same is not followed by the Target due to lower profits and net worth.

QUALITY OF INFORMATION AND INTERNAL CONTROLS (3/3)

Borrowings

- We were provided with the facility level breakdown of borrowings in excel which contained the facility level master of borrowings with Principal outstanding, date of sanction, limit sanctioned, Lender type, interest rate, etc., and reconciled the same to the financial statements.
- We were provided facility wise repayment schedule. Reconciled the outstanding borrowings as per the financials and the total principal repayments as per the repayment schedule and didn't find any major discrepancy.
- Target doesn't maintain a covenant tracker. However, the Target represented that there have not been any covenant breaches during the review period.

Finance cost

- Interest charges are recorded as and when paid. On a month end basis, accrual adjustment entry is recorded.
- Processing charges paid in relation to borrowings are amortized on a straight-line basis over the tenure of the loan. We were not provided with the accurate working of processing fees charges amortized for FY22 and FY23.
- Target has also paid consultation charges in relation to obtaining borrowed funds. Such charges are amortized on a straight-line basis over the tenure of the loan. We were not provided with the accurate working of consultation charges amortized for FY22 and FY23.

Payroll

- We were provided with an employee register with department-wise breakdown along with branch information. However, we observed inconsistencies in the branch tagging. We noted that some employees have their branch as 'Federation' Indicating the possibility that these employees, recorded under the IDF payroll, may be working for the Federation.
- Since we did not receive any employment contracts or offer letters for any Key Management Personnel (KMP) or other employees, we could not confirm the existence of any payout commitments or non-compete/non-solicit clauses.

Section 2

Summary financials

Balance Sheet Overview (1/4)

9,700,000 OCPS were issued during the review period for INR 97 mn. C. 61% of the total capital is held by IDF SHG Federation (Dharwad) on a fully diluted basis.

Balance Sheet

Particulars	Amount (INR mn)				Common Size (%)			
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Share Capital	231.0	273.0	328.0	328.0	14%	12%	13%	11%
Reserves & Surplus	69.9	105.6	146.2	166.3	4%	5%	6%	6%
Net Worth	**300.9**	**378.7**	**474.2**	**494.3**	**18%**	**17%**	**18%**	**17%**
Liabilities								
Borrowings	1,269.7	1,833.5	2,060.6	2,312.8	77%	81%	79%	80%
Provisions	54.3	40.1	45.7	50.7	3%	2%	2%	2%
Other Current Liabilities	18.6	11.8	37.0	40.6	1%	1%	1%	1%
Total Equity and Liabilities	**1,643.5**	**2,264.1**	**2,617.6**	**2,898.4**	**100%**	**100%**	**100%**	**100%**
Assets								
Property, Plant and Equipment	1.4	4.3	4.3	4.0	0%	0%	0%	0%
Loans and advances	1,365.8	1,860.8	2,213.2	2,199.9	83%	82%	85%	76%
Cash & Cash Equivalents	225.8	359.9	348.9	633.9	14%	16%	13%	22%
Other Assets	46.5	33.7	43.8	53.3	3%	1%	2%	2%
Deferred tax assets (net)	4.0	5.5	7.3	7.3	0%	0%	0%	0%
Total Assets	**1,643.5**	**2,264.1**	**2,617.6**	**2,898.4**	**100%**	**100%**	**100%**	**100%**
Debt-Equity Ratio	*4.22*	*4.84*	*4.35*	*4.68*				
Average debt as a % of average POS of own portfolio	*92.0%*	*93.5%*	*96.7%*	*96.8%*				

Source: Audited financial statements for year ended 31 Mar 22, 31 Mar 23 and 31 Mar 24 and provisional unaudited financial statements for the period ended 30 Jun 24

Note:
Debt-equity ratio = Borrowings / Net worth
Average debt as % of average POS = Average 12-month borrowings / Average 12-month POS (including loans to customers and loan to federation)

Share Capital:

- As at 30-Jun-24 comprises of the following:
  - 10,821,230 equity shares of INR 10 each. Of these shares, c. 58% are held by IDF SHG Federation (Dharwad), c.10% each by Vivekanand. N. Salimath, Naganagouda M Patil and T V Srikantha Shenoy and c. 8% by IDF FSPL Balaga welfare trust.
  - 7,232,485 9% compulsory convertible preference shares of INR 10 each. All these shares are held by IDF SHG Federation (Dharwad). Basis the agreement, all of these shares are convertible on completion of tenure in Dec 2027.
  - 11,750,000 9% optionally convertible preference shares of INR 10 each and 3,000,000 10% optionally convertible preference shares of INR 10 each. 47% of these shares are held by IDF SHG Federation (Dharwad), c. 10% by Swavalambana Trust and balance c. 54% by other individuals, which the Target explained were employees or relatives of employees. These shares are convertible at the option of the investor, not before three years from the date of allotment and have a maximum tenure of six years.
- Target had issued 6,700,000 9% optionally convertible preference shares and 3,000,000 10% optionally convertible preference shares at par during the review period. Refer page 7 for diluted share holding.
- Target explained that conversion factor of the preference shares will be decided at the point of conversion. Currently a 1:1 ratio is considered for dilutive shareholding pattern. Target explained that there is no legal agreement entered with these shareholders. Investor should legally evaluate the dilution impact.
- As at 30-Jun-24, Target has not created any provision for cumulative dividends on preference shares.

Balance Sheet Overview (2/4)

Borrowing mix from NBFCs increased from 17% as at 31-Mar-22 to 40% as at 30-Jun-24 resulting in increased finance cost during the review period. Provision on loan portfolio of INR 22.1 mn in line with RBI guidelines

Reserves and surplus:

- As at 30-Jun-24, comprises of accumulated profits of INR 78 mn, statutory reserve as per RBI guidelines of INR 61 mn, General Reserve of INR 24 mn, Bad debt reserve of INR 3 mn and securities premium earned on issue of equity shares of Saalman INR 0.8 mn. Refer Appendix 5 for detailed movement in reserve and surplus during the review period.

Borrowings:

INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Loan from Banks	984.0	1,261.1	1,207.9	1,383.2
Loan from NBFCs & Financial institutions	213.7	518.6	852.3	929.3
Cash credit	72.0	53.8	0.4	0.2
Total	**1,269.7**	**1,833.5**	**2,060.6**	**2,312.8**

Source: Management information & BDO analysis

- Borrowings increased from 31-Mar-22 to 30-Jun-24 primarily to fund the disbursement growth. Borrowing mix of loans from NBFCs increased from 17% as at 31-Mar-22 to c. 39%. Target explained that c. 81% of loans had floating rate of interest. Refer page 57 for detailed discussion on borrowings.

Provisions:

INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Provision on loan portfolio	18.9	18.9	22.1	27.1
Provision for Taxation	23.6	19.8	22.1	22.1
Provision for Contingent Expenses	1.8	1.4	1.4	1.4
Provision on loans - covid 19	10.0	-	-	-
Total Long Term Provisions	**54.3**	**40.1**	**45.7**	**50.7**

Source: Management information

- **Provision on loan portfolio:** The Target accounted the provision in line with the master directions issued by the RBI. We corroborated the provisioning requirements as per the guidelines and the provision made by the Target and did not note any material discrepancies in the same. Refer page 34 for more details on provision on loan portfolio.
- **Provision on taxation** - As at 30-Jun-24, pertains to provision for taxation for AY 24-25 of INR 17.8 mn and for AY 23-24 of INR 4.2 mn.
- **Provision for contingent expenses** - This pertains to contingent fund created to replace cash handling and fidelity insurance expense. Target explained that this provision was estimated based on the annual insurance premium.
- **Provision on loans - Covid 19**: As at 31-Mar-22, the Target had created excess provision over and above the guideline requirements for Covid 19. This was subsequently reversed in FY23.

Other current liabilities:

INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Insurance payable	8.4	2.6	24.3	19.9
Sundry payable	0.6	0.8	1.1	9.0
Interest accrued but not due on borrowings	3.8	4.3	3.6	3.6
Statutory liabilities	3.7	2.3	3.4	2.2
Gratuity liability (net)	-	0.4	1.9	1.9
Other payables	1.8	0.9	2.1	3.5
Suspense	0.2	0.4	0.6	0.6
Total	18.5	11.7	37.0	40.6

Source: Management information

- **Insurance payable:** Pertains to insurance premium collected from members. Management explained that they don't maintain member wise aging and listing for the same.

Balance Sheet Overview (3/4)

Sundry payables increased from 31-Mar-24 to 30-Jun-24, for which no specific reasons were provided for the same. Per Management, INR 1.4 mn is still outstanding as on 30-Sep-24.

- **Sundry payables:** This includes salary payable to employees. It increased from 31-Mar-24 to 30-Jun-24, for which no specific reasons were provided by the Target. Per Target, INR 1.4 mn is still outstanding as on 30-Sep-24.
- **Interest accrued but not due on borrowings:** This pertains to interest accrued but not due on borrowings from banks, NBFCs and Financial Institutes. Target explained that interest accrued as on 30-Jun-24 amounted for INR 4.07 mn which was not accounted for in the financials.
- **Statutory liabilities:** As at 30-Jun-24, this included TDS payable of INR 1.3 mn, PF & ESIC payable of INR 0.5 mn and GST of INR 0.3 mn. We had been provided with the challans for the subsequent payments and understand that these have been cleared by the due dates.
- **Gratuity present value obligations:** Pertains to provision for Gratuity, valued based on valuation by an independent actuary at every year end. The gratuity liability is funded. Target explained that the liability as on 30-Jun-24 has not been revalued as it is a year end activity.
- **Other payables:** As at 30-Jun-24, it majorly pertains to LIC claim group claim payable to borrower (INR 1.9 mn), IDBI loan collection account (INR 1 mn).

Property, Plant and Equipment:

INR mn

Particulars	Net Block				%	Net Block as a % of Gross Block
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24		
Vehicles	0.3	2.9	2.2	1.9	47%	51%
Computers & accessories	0.7	0.8	1.4	1.2	31%	12%
Furniture and fixtures	0.4	0.5	0.6	0.7	19%	24%
Office equipments	0.0	0.1	0.1	0.1	3%	4%
Total fixed assets	**1.4**	**4.3**	**4.3**	**4.0**	**100%**	**19%**

Source: Management Information & BDO Analysis

- The Target follows WDV method for depreciating all the assets. Target explained that physical verification was done in a phased manner over a period of three years and that the last physical verification was done during last branch audit in Mar-24 to May-24.

Loans and advances:

INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Loan to customers	1,318.9	1,834.8	2,200.9	2,193.0
Loan to federation	46.8	33.5	12.7	6.9
Total Loans and advances	**1,365.8**	**1,868.8**	**2,213.2**	**2,199.9**

Source: Management information

- It includes balance of loans (including interest accrued on loans) to customers towards JLG loans. Refer subsequent pages for detailed analysis on loan portfolio.
- Management explained that loan to federation was given for purpose of skill development training to SHGs. It declined from 31-Mar-22 to 30-Jun-24 driven by repayments. Target explained that this has been repaid by Sep-24.

Balance Sheet Overview (4/4)

Of the total deposit balance of INR 448.7 mn as at 30-Jun-24, INR 218.7 mn c. 49% was restricted in nature pledged towards lenders for borrowings and INR 29 mn c. 6% was provided as FLDG to Jana bank and IDBI bank.

Cash & Cash Equivalents:

INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Deposit account	201.6	345.0	280.1	448.7
Cash credit account	0.9	1.2	1.8	100.3
Current account	23.1	13.6	66.5	83.4
Cash in hand	0.2	0.1	0.6	1.4
Total	**225.8**	**359.9**	**348.9**	**633.9**

Source: Management information

- Cash and cash equivalents increased from 31-Mar-24 to 30-Jun-24 driven by unutilized funds from borrowings obtained in Q1FY25
- Of the total deposit balance of INR 448.7 mn as at 30-Jun-24, INR 218.7 mn c. 49% was restricted in nature pledged towards lenders for borrowings and INR 29 mn c. 6% was provided as FLDG to Jana bank and IDBI bank. We had been provided with the formal balance confirmations from the banks as at 31-Mar-24 and bank and deposit statements as at 30-Jun-24 and did not note any material reconciliations with the reported balance.

Other assets:

INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Balances with government authorities	26.9	20.3	18.2	22.8
Prepaid processing charges	5.3	6.2	12.6	15.7
Prepaid consulatation charges	0.1	-	4.3	4.9
Receivable towards BC loans	3.9	4.5	4.7	3.8
Advance rent	2.3	2.6	2.8	2.8
Others	8.0	0.1	1.1	3.4
Total Other Assets	**46.5**	**33.7**	**43.8**	**53.3**

Source: Management information

- **Balances with government authorities:** As on 30-Jun-24 mainly pertains to advance tax of INR 15.5 mn and TDS receivable of INR 7 mn.
- **Prepaid processing charges:** Pertains to upfront processing charges paid on borrowings taken. Target amortizes prepaid processing charges over the tenure of the loan using the straight-line method. It increased from Mar-23 to Mar-24 driven by increase in borrowings taken. We were provided with the working and no material discrepancies noted.
- **Prepaid consultation charges:** Pertains to expense incurred towards consulting obtained for availing borrowings. Target amortizes these charges over the tenure of the loan using the straight-line method. We were provided with the working and no discrepancies noted.
- **Receivable towards BC loans:** Pertains to receivable from lending partners – Jana and IDBI for Target's share of interest and processing fees. The settlements with partners are done on a monthly basis and as on 30-Jun-24, the balance pertained to one month's receivable which was received by Target in Jul-24. We were provided with the settlement workings with the partners and did not note discrepancies in the same.
- **Advance rent:** Pertains to rent paid in advance for the branches and HO.
- **Others:** It included interest receivable on investment of INR 0.8 mn amount receivables from IDF SHG federation of INR 2.4 mn towards loan adjusted from members. It increased from Mar-24 to Jun-24 driven by guarantee claims pending to be settled by federation against overdue loan accounts. We were not provided with any member-wise break-up of this amount.

Income Statement Overview (1/2)

RoA increased from FY22 to FY23 primarily driven by (i) increase in income from BC portfolio and loan processing fee (ii) decline in write offs; partially off-set by decline in net interest margin. It further declined from FY23 to YTD25 driven by decline in income from BC portfolio and loan processing fee (ii) increase in provisions and write offs; partially off-set by (i) efficiencies from recovery of overheads (i.e. employee and other expenses) (ii) increase in net interest margin

Income Statement

Particulars	Amount (INR mn)				As a % of Avg POS#				YoY change %*		
	FY22	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25	FY23	FY24	YTD25
Interest income on own portfolio	241.0	303.4	382.8	115.7	20.4%	18.7%	19.8%	21.1%	26%	26%	21%
Interest Expense	(116.2)	(166.4)	(235.0)	(64.1)	-9.8%	-10.2%	-12.2%	-11.7%	43%	41%	9%
Net Interest Margin	**124.8**	**137.0**	**147.8**	**51.6**	**10.5%**	**8.4%**	**7.7%**	**9.4%**	**10%**	**8%**	**40%**
Income on BC portfolio	32.6	55.5	70.2	12.2	2.8%	3.4%	3.6%	2.2%	70%	27%	-30%
Loan processing fee	9.3	16.1	18.7	4.0	0.8%	1.0%	1.0%	0.7%	72%	16%	-14%
Income from operations	**166.7**	**208.6**	**236.7**	**67.8**	**14.1%**	**12.8%**	**12.3%**	**12.4%**	**25%**	**13%**	**15%**
Employee benefits expense	(69.5)	(88.8)	(99.3)	(25.6)	-5.9%	-5.5%	-5.1%	-4.7%	28%	12%	3%
Other expenses	(42.0)	(44.4)	(46.5)	(11.8)	-3.5%	-2.7%	-2.4%	-2.2%	6%	5%	2%
Provision for doubtful debts & w/offs	(26.7)	(17.5)	(34.4)	(10.6)	-2.3%	-1.1%	-1.8%	-1.9%	-34%	97%	24%
Depreciation and amortisation expense	(0.9)	(1.2)	(1.5)	(0.5)	-0.1%	-0.1%	-0.1%	-0.1%	34%	26%	31%
Other Income	11.5	15.3	20.1	0.8	1.0%	0.9%	1.0%	0.2%	33%	31%	-83%
Profit/(loss) before tax	**39.1**	**72.1**	**75.2**	**20.1**	**3.3%**	**4.4%**	**3.9%**	**3.7%**	**84%**	**4%**	**7%**
Tax Expense:											
Current Tax	(9.8)	(18.8)	(17.9)	-	-0.8%	-1.2%	-0.9%	0.0%	91%	-5%	-100%
Deferred Tax	(1.5)	0.3	1.8	-	-0.1%	0.0%	0.1%	0.0%	-122%	435%	-100%
Profit after tax (PAT)	**27.8**	**53.6**	**59.1**	**20.1**	**2.3%**	**3.3%**	**3.1%**	**3.7%**	**93%**	**10%**	**36%**
Yield on own portfolio	*20.1%*	*18.2%*	*19.6%*	*21.0%*							
Cost of funds	*10.5%*	*10.7%*	*12.4%*	*12.3%*							
Spread	*9.6%*	*7.5%*	*7.1%*	*8.8%*							
Net Interest Margin on own portfolio	*10.5%*	*8.4%*	*7.7%*	*9.4%*							
Return on assets	*2.4%*	*3.7%*	*3.1%*	*2.9%*							
Return on equity	*13.2%*	*21.2%*	*17.6%*	*16.6%*							

Source: Audited financial statements for year ended 31 Mar 22, 31 Mar 23 and 31 Mar 24 and provisional unaudited financial statements for the period ended 30 Jun 24

** YoY on an annualised basis*

Notes:
Yield on own portfolio = Interest income on loans / Average 12 months own book POS (excluding loan to federation)
Cost of funds = Finance cost / Average 12 months borrowings
Spread = Yield on own portfolio - cost of funds
Net Interest Margin (%)- Net interest margin(value)/ Average 12 months own book POS (excluding loan to federation)
Return on assets - Profit before tax / 2 point average of assets
Return on equity - Profit before tax / 2 point average of net worth
Avg POS = Average monthly own book POS (excluding loan to federation)

Interest income:

- Interest income as a % of average POS declined from FY22 to FY23, for which no reason was not provided. It subsequently increased in YTD25 driven by shift in loan mix to 25%-27% interest bucket (from 8% as at 31-Mar-23 to 63% as at 30-Jun-24). We were provided with loan ID wise interest income accrual and reversal working for the review period. We noted certain errors while reviewing interest reversal working shared with us. In few cases, interest was reversed for cases that had 0 DPD. Further, there were cases where customers turned NPA but interest income was not reversed. No specific reasons for this were provided to us. Due to this, yield and interest income reported may not be accurate.

Interest expense:

- Interest expense includes interest on portfolio borrowings including debt, term loans and sub-ordinate liabilities. Increase in interest expense is driven by (i) increase in market rate of interest (ii) increased borrowings from NBFCs & other financial institutions (from 17% as at 31-Mar-22 to 40% as at 30-Jun-24) which have higher rate of interest than borrowings from banks. Refer page 57 for detailed discussion on borrowings.

Income on BC portfolio:

- Pertains to business correspondence fee from IDBI Bank Limited ('IDBI') and Jana Small Finance Bank Limited (Jana'). The Target receives (i) fees @11% p.a. on loan outstanding, upon recovery from SHG/JLGs for loans sourced for IDBI (ii) 9% interest (7.5% prior to Sep-22) and 1% share of processing fee for loans sourced for Jana (7.5% interest and 50% share of total fees charged to the customer prior to). Income increased from FY22 to FY24 driven by increase in loans sourced. Target explained that it further declined in YTD25 primarily driven by decline in loans sourced for Jana due to ongoing commercial discussions on the FLDG.

INR mn

Particulars	FY22	FY23	FY24	YTD25
Jana - commission on recovery	28.8	47.1	56.0	10.4
IDBI - commission on recovery	-	2.4	9.9	1.2
Jana - processing fees	3.8	5.9	4.3	0.6
Total	**32.6**	**55.5**	**70.2**	**12.2**

Source: Management information

Income Statement Overview (2/2)

RoA increased from FY22 to FY23 primarily driven by (i) increase in income from BC portfolio and loan processing fee (ii) decline in write offs; partially off-set by decline in net interest margin. It further declined from FY23 to YTD25 driven by decline in income from BC portfolio and loan processing fee (ii) increase in provisions and write offs; partially off-set by (i) decline in expenses (ii) increase in net interest margin

Loan processing fee:

- Processing fee income pertains to processing fee collected from borrowers amortized over the tenure of the loan. The Target charged 1% processing fees to the borrowers. It declined from FY24 to YTD25 driven by decline in disbursements in YTD25. Management stated that they deliberately slowed down disbursement as a business decision.

Employee benefit expenses:

- Comprises of salary cost, incentives, bonus, stipend paid, contribution to provident and other funds, gratuity cost and staff welfare expenses. Increase in salary cost during the review period is primarily on account of increase in branches. The headcount increased from 269 employees as at 1-April-21 to 345 employees as at 30-Jun-24. For more details refer page 53 & 54.

Other expenses:

- Comprises of rent, professional fees, travelling & conveyance costs, office maintenance expenditure, printing & stationery, repairs and maintenance, etc. Refer page 55 & 56 for detailed discussion on other expense as a % to POS declined from FY22 to YTD25 driven by increase in operating leverage.

Provision for doubtful debts & write offs:

- Pertains to provisions created on the loan portfolio and write offs carried out during the review period. It declined from FY22 to FY23 driven by decline in bad debt-written off routed through the P&L. It further increased in FY24 driven by FLDG expense to Jana (INR 7 mn), increase in loans written off and provision on loans. Refer page 34 for details on provision and page 35 for details on write offs.

Depreciation and amortization expense:

- The Target follows written down value method of depreciation based on the useful life of the assets mentioned under Schedule II of the Companies Act, 2013.

Other Income:

- Break down of other income is provided below:

INR mn

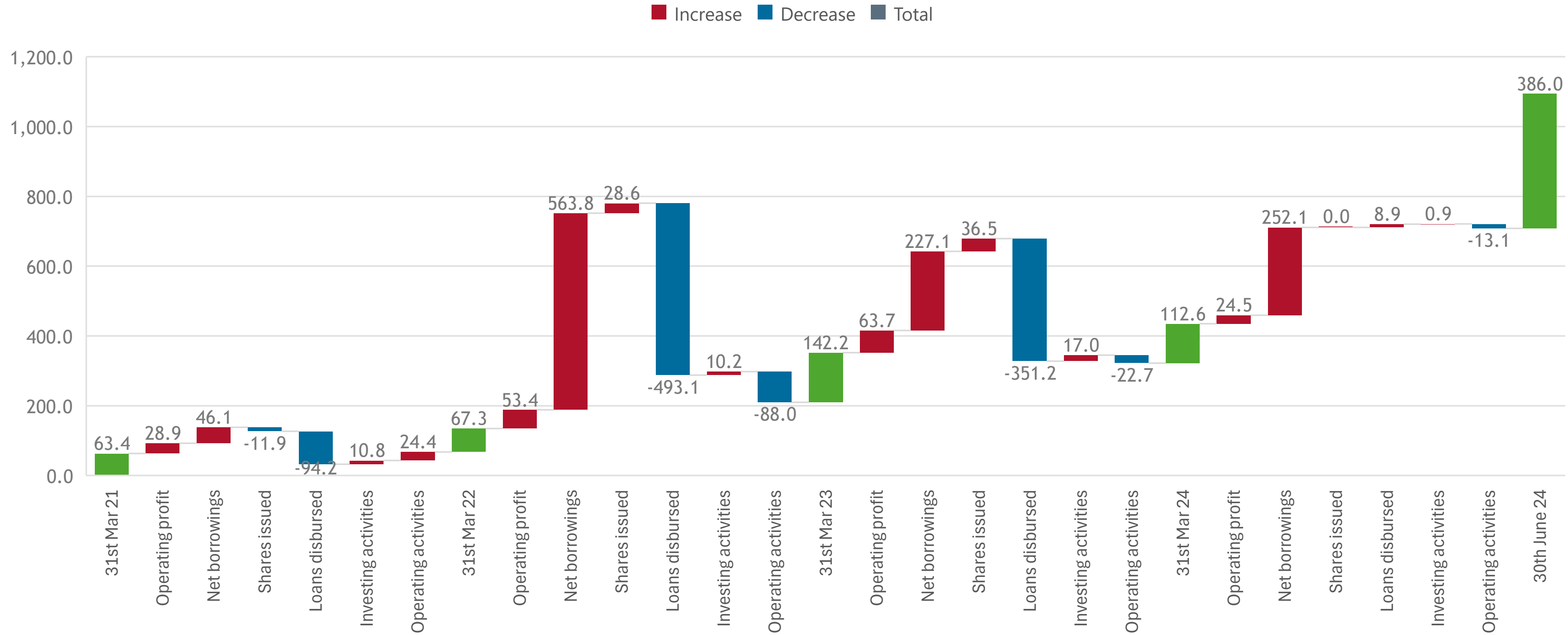
Particulars	FY22	FY23	FY24	YTD25
Sale of fixed assets	-	-	-	0.4
Interest on term deposits	11.0	14.2	18.5	0.1
Recovery against loans written off	0.2	1.1	1.4	0.1
Others	0.3	0.0	0.00	0.1
Total	**11.5**	**15.3**	**20.1**	**0.8**

Source: Management information

- **Interest on term deposits:** Pertains to the interest income earned on fixed deposits placed during the review period. Target explained that they have not recorded interest on term deposits in YTD25.
- **Sale of fixed assets:** Pertains to vehicle sold during the review period.
- **Recovery against loans written off:** Pertained to recoveries of loan outstanding amount from the borrowers who were tagged as written off in the books.
- **Others:** Comprises of recovery from customers for credit bureau check of INR 0.1 mn and miscellaneous income earned during the review period.

Cash flow bridge

Net proceeds from borrowings were utilized for fresh disbursements. High cash balance as at 30-Jun-24 due to unutilised funds from borrowings



Note: (1) Net flow from operating activities comprises movement in other assets, other liabilities, provisions and tax paid (2) Net flow from shares issued comprise of inflow from issue of shares and dividends paid

Source: Management information and BDO analysis

Section 3

Statement of adjustments

STATEMENT OF ADJUSTMENTS (1/4)

Quantifiable adjustment to net profit had an impact of reducing the profit from INR 20.1 mn to INR 15 mn for YTD25 and decreasing net worth from INR 494.3 mn to INR 125.5 mn as at 30-Jun-24; Major impact on net worth on account of proposed credit cost adjustment.

Quality of earnings and net worth adjustments

Particulars	Notes	FY22	FY23	FY24	YTD25	30-Jun-24
Reported profit before tax/ Net worth		**39.1**	**72.1**	**75.0**	**20.1**	**494.3**
Reported ROA %		**2.4%**	**3.7%**	**3.1%**	**2.9%**	
Due diligence related adjustment						
Credit cost adjustment						
-On-book 'stressed' portfolio	1. A	-	-	-	-	(242.4) +/- NQ
-Portfolio sourced as BC	1. B	-	-	-	-	(49.9) +/- NQ
-On-book 'non-stressed' portfolio	1. C	-	-	-	-	(26.7) +/- NQ
Non reversal of interest income	2	0.0 - NQ	0.0 - NQ	0.0 - NQ	0.0 - NQ	(27.6)
Amortisation of processing charges	3	0.0 +/- NQ	0.0 +/- NQ	(9.1)	(3.5)	(20.6)
Cumulative dividend payable	4	-	-	-	(0.5)	(0.5)
Interest accrued but not due	5	-	-	-	(0.5)	(0.5)
ITC reversal	6	-	-	-	(0.3)	(0.3)
Provision for CSR expense	7	-	-	-	(0.3)	(0.3)
Non-core business income	8	(11.3)	(14.2)	(18.5)	(0.5)	-
Unrecorded employee cost	9	0.1	(2.9)	(1.0)	0.0	-
Non-recurring expenses	10	-	-	-	0.5 +/- NQ	-
Provision for income tax	11	-	-	-	-	-NQ
Provision for gratuity liability	12	-	-	-	0.0 +/- NQ	0.0 +/- NQ
Hard closure adjustment	13	-	-	-	0.0 +/- NQ	0.0 +/- NQ
Adjusted profit/ net worth		**27.9 +/- NQ**	**54.9 +/- NQ**	**46.3 +/- NQ**	**15.0 +/- NQ**	**125.5 +/- NQ**
Adjusted ROA %		***1.7%***	***2.8%***	***1.9%***	***2.2%***	
Other matters for consideration						
Tax related adjustments	14					
Convertible preference shares	15					
Interest income accounting	16					
Cost to strengthen internal controls and post merger integration	17					
Sourcing post merger	18					
Collection substantiation	19					

Source: Management information & BDO analysis

1.A Credit cost adjustment - on-book 'stressed' portfolio

- Based on our credit cost estimate, we estimate an incremental credit cost of INR 242.4 mn on the on-book 'stressed' portfolio and have proposed a net worth adjustment for the same.
- In the absence of correct DPDs, we were unable to estimate the incremental cost based on flow rates or static pool analysis. As an alternative approach, we arrived at an incremental credit loss on 'stressed' POS as at 30-Jun-24 post expected recovery of 8.9% (based on 12 month average collection efficiency rate of overdue cases)

Credit cost estimate - 'Stressed' book INR mn

Particulars	30-Jun-24
Stressed' POS as at 30-Jun-24	266.1
Collection efficiency (overdue cases)	8.9%
Incremental credit loss on 'stressed' book	**242.4**

Source: Management information & BDO analysis

1.B Credit cost adjustment - portfolio sourced as BC

- The PAR 90+ of the BC partner (off-book) portfolio as at 30-Jun-24 aggregated to INR 50.3 mn. We found 13,838 cases (POS of INR 421.6 mn as at 30-Jun-24) where the DPD seemed to be erroneous. Management didn't provide us with reasons/explanations for the erroneous DPDs since this book was not captured in their system. We have provided an +/-NQ adjustment for any potential change in reported DPD provided to us the actual DPD.

Our work indicated certain potential adjustments to reported earnings for the review period and Net worth as at 30-Jun-24. It may be noted that this analysis is not governed by any formal standard or guidance and is judgmental in nature. Consequently, other parties may assess or interpret differently adjustments included or excluded from our analysis.

STATEMENT OF ADJUSTMENTS (2/4)

Quantifiable adjustment to net profit had an impact of reducing the profit from INR 20.1 mn to INR 15 mn for YTD25 and decreasing net worth from INR 494.3 mn to INR 125.5 mn as at 30-Jun-24; Major impact on net worth on account of proposed credit cost adjustment.

1.B Credit cost adjustment - portfolio sourced as BC

- (Cont.) As per the agreement with Jana Small Finance Bank Limited and IDBI Bank Limited, FLDG of 4% of disbursements and 7.5% of POS respectively has been provided by the Target to the Banks. The aforesaid FLDG is backed by FDs.
- **Book sourced for Jana as a BC:** FLDG of INR 7 mn was paid to Jana in FY24. Target represented that other than this no other FLDG was paid till date. In the absence of confirmation from Management, we have assumed that the PAR of INR 50.3 mn is post adjusting FLDG of INR 7 mn. Per Management, no further provision is required as FLDG held as deposit by Jana bank is INR 21.6 mn, which is higher than 4% of portfolio outstanding (INR 20 mn). However, based on our reading of the agreement, FLDG is to computed based on portfolio disbursed. In the absence of quantum of disbursements prior to FY22, we have provided an +NQ adjustment for the potential exposure on disbursements prior to FY22. Accordingly, we propose an adjustment of INR 49.9 mn +/- NQ to the net worth.

Book sourced for Jana as a BC

Particulars	INR mn
Disbursements (FY22-YTD25)	1,422.3 + NQ
FLDG %	4%
FLDG exposure	**56.9 + NQ**
FLDG invoked	7.0
Total	**49.9 +/- NQ**

Source: Management information & BDO analysis

- Moreover, incoming investor is advised to understand the latest FLDG status and commercials agreed between the Target and Jana Bank.
- **Book sourced for IDBI as a BC :** Per Management, no provision is required as there are no PAR 90+ loans. On performing our analysis, we found 33 cases (POS of INR 0.7 mn as at 30-Jun-24) where the DPD seemed to be erroneous. Accordingly, we propose an adjustment +/- NQ to the net worth.

1.C Credit cost adjustment - on-book 'non-stressed' portfolio

- Based on our credit cost estimate, we estimate an incremental credit cost of INR 26.7 mn on the on-book 'non-stressed' portfolio and have proposed a net worth adjustment for the same.

Credit cost estimate - 'non-stressed' book INR mn

Particulars	30-Jun-24
Non-stress POS as at 30-Jun-24	1,858.1
Stress rate of customers onboared in Q4FY23	2.9%
Expected credit loss on non-stress book	**53.8**
Provisions in financials	27.1
Incremental credit cost on non-stress book	**26.7**

Source: Management information & BDO analysis

- In the absence of correct DPDs, we were unable to estimate the incremental cost based on flow rates or static pool analysis. As an alternative approach, we estimate the expected loss rate by applying the value weighted average of stress rate of recently seasoned customer cohort (customers onboarded between Q4FY23-H1FY24) of 2.9% i.e. the quantum of POS as at 30-Jun-24 that has become stressed from the disbursements to customers of Q4FY23-H1FY24 vintage.

2 Interest income accounting

- We noted certain errors while reviewing interest reversal working shared with us. In few cases, interest was reversed for cases that had 0 DPD. Further, there were cases where customers turned NPA but interest income was not reversed. Discussions indicated that Target didn't reverse income on NPA, indicating potential error in interest income accounting during the review period.

STATEMENT OF ADJUSTMENTS (3/4)

Quantifiable adjustment to net profit had an impact of reducing the profit from INR 20.1 mn to INR 15 mn for YTD25 and decreasing net worth from INR 494.3 mn to INR 125.5 mn as at 30-Jun-24; Major impact on net worth on account of proposed credit cost adjustment.

2

- (Cont.) Accordingly, we propose an adjustment of INR 27.6 mn to the net worth for reversal of accrued interest income on stressed books.
- In the absence of (i) accurate DPDs for the 'stressed book' (ii) date of a loan moving into 'stressed' category, we are unable to quantify the interest income that should be reversed during the review period. Accordingly, we propose a '- NQ' adjustment to the reported PBT during the period.

3 Amortization of processing charges

- Target amortises processing charges and consulting charges for borrowings over the life of the borrowings and records the processing fee on loans upfront. This is against the matching concept of accounting which says that an expense should be reported in the same period as the corresponding revenue is earned. In the absence of working for FY22 and FY23, we propose an adjustment of +/- NQ to the respective reported PBT. Based on the workings for FY24 and YTD25 we have given an adjustment of INR 9.1 mn and INR 3.5 mn respectively to the reported PBT and an adjustment of INR 20.6 mn to the Net worth.

4 Non-core business income

- This pertains to interest on term deposits, profit on sale of fixed assets, etc. Since these incomes are not core business incomes, we propose an adjustment to reported PBT.

5 Cumulative dividend payable

- As at 30-Jun-24, (i) 7,232,485 9% compulsory convertible preference shares, (ii) 11,750,000 9% optionally convertible preference shares and (iii) 3,000,000 10% optionally convertible preference shares are outstanding. The Target hasn't accrued dividend for YTD25. Accordingly, we propose an adjustment of INR 0.5 mn to the reported PBT of YDT25 and net worth.

6 Interest accrued but not due

- As at 30-Jun-24, actual interest accrued but not due on borrowings is INR 4.1 mn, which was under-accounted by the Target at INR 3.6 mn. We propose an adjustment, for the under recorded INR 0.5 mn, to reported PBT of YTD25 and net worth.

7 ITC reversal

- As per section 17(4) of the GST Act, 2017, a NBFC may claim ITC at a set rate of 50% on all its credit under the 50% ITC method, after which the remaining ITC needs to be expensed. Target has opted for this method. However, in YTD25, 50% ITC was not reversed. Accordingly, we propose an adjustment of INR 0.3 mn, to the extent of ITC not reversed, to the reported PBT of YDT25 and net worth.

8 Provision for CSR expense

- CSR provisions have become applicable to the Target in FY24 as the net profit in the preceding financial year exceeded the statutory limit of INR 5 crores. Target hasn't made a provision for CSR expense in the financials. Accordingly, we propose an adjustment of INR 0.3 mn, proportionate provision for Q1 at 2% of average net profits of FY22-FY24, to the reported PBT of YDT25 and net worth.

9 Unrecorded employee cost

- Target provided us with employee wise payroll register for our analysis. We propose an adjustment for the unreconciled difference in the employee cost as per the payroll dump and the financials to the reported PBT during the review period.

10 Non-recurring expenses

- This pertains to expenses that are non-recurring in nature like services for fund raising activities etc. Since these are non-recurring in nature, we propose an adjustment to normalize the reported PBT.

STATEMENT OF ADJUSTMENTS (4/4)

Quantifiable adjustment to net profit had an impact of reducing the profit from INR 20.1 mn to INR 15 mn for YTD25 and decreasing net worth from INR 494.3 mn to INR 125.5 mn as at 30-Jun-24; Major impact on net worth on account of proposed credit cost adjustment.

11 Provision for income tax

- Target didn't make a provision for income tax for FY25. Accordingly, we propose an –NQ adjustment for the same to the reported net worth.

12 Provision for gratuity liability

- The provision for gratuity liability as at 30-Jun-24 (INR 1.9 mn) is based on 31-Mar-24 and is not actuarially valued since it is a year-end exercise and will be valued at March end. In the absence of actuarial valuation of gratuity, we propose a non-quantifiable adjustment to reported PBT and net worth to accommodate any alterations in provisions that may occur on actuarial valuation.

13 Hard Closure adjustment

- Financial statements for period ended 30-Jun-24 are provisional and not hard closed and audited. As closing procedures have not been undertaken for preparing these Management accounts, all expenses, liabilities and provisions may not have been recorded. We therefore propose a non-quantifiable adjustment to reported PBT earnings and net worth.

14 Tax related adjustments

- Tax exposure items in relation to Loan Processing Fees, Delay in SFT Filings, Assessment Proceedings, Disallowance of ROC fees and Stamp duty, TDS Compliance and TRACES Portal, Revenue as per GST returns not matching with books of accounts, etc. are highlighted in the tax due diligence reports. Refer Annexure 1- draft Direct tax due diligence report and Annexure 2- draft Indirect tax due diligence report detailed discussion on the same.

15 Convertible preference shares

- Target explained that conversion factor of the preference shares will be decided at the point of conversion. Currently a 1:1 ratio is considered for dilutive shareholding pattern. Target explained that there is no legal agreement entered with these shareholders. Investor should legally evaluate the dilution liability.

16 Interest income accounting

- We noted certain errors while reviewing interest reversal working shared with us. In few cases, interest was reversed for cases that had 0 DPD. Further, there were cases where customers turned NPA but interest income was not reversed. No specific reasons for this were provided to us, indicating potential error in interest income accounting during the review period. Due to this, yield and interest income reported may not be accurate. Incoming investor should take this into consideration while evaluation.

17 Cost to strengthen internal controls and post merger integration

- We found certain issues and concern points in the internal controls, systems and the quality of information shared with us. The same is highlighted in the 'quality of information' on page 12-14. Incoming investor should take into consideration the additional cost for (i) strengthening these internal controls and systems (ii) post merger integration in business evaluation and valuation.

18 Sourcing post merger

- Target explained that the IDF federation sources its members from the state of Karnataka and Maharashtra. These customers open a savings account with the federation and are then provide loan facilities by the Target. Incoming investor should commercially evaluate the going forward sourcing strategy and how they will independently source customers.

19 Collections substantiation

- We substantiated the collection amounts from the bank statement of Target on a sample basis for 5 months (Aug-21, Feb-22, Nov-22, May-23, Jan-24). We were unable to substantiate 21.6%-38.5% collections. Incoming investor should evaluate the collections received against dues on case-by-case basis to ensure the sources of collections, correct appropriation of collections, correct reporting of DPD, etc.

Section 4

Key findings

PROFITABILITY & ROE

Yield decline in FY23, reasons for which not provided. It subsequently increased in YTD25 driven by shift in loan mix to 25%-27% interest bucket. Cost of funds increased due to increase in market rates & increased borrowings from NBFCs and other FIs; ROA and ROE increased during the review period due to operating efficiency in recovery of employee and other expenses; partially offset by decline in income

Income Statement

Particulars	Amount (INR mn)				As a % of Avg POS#				YoY change %*		
	FY22	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25	FY23	FY24	YTD25
Interest income on own portfolio	241.0	303.4	382.8	115.7	20.4%	18.7%	19.8%	21.1%	26%	26%	21%
Interest Expense	(116.2)	(166.4)	(235.0)	(64.1)	-9.8%	-10.2%	-12.2%	-11.7%	43%	41%	9%
Net Interest Margin	**124.8**	**137.0**	**147.8**	**51.6**	**10.5%**	**8.4%**	**7.7%**	**9.4%**	**10%**	**8%**	**40%**
Income on BC portfolio	32.6	55.5	70.2	12.2	2.8%	3.4%	3.6%	2.2%	70%	27%	-30%
Loan processing fee	9.3	16.1	18.7	4.0	0.8%	1.0%	1.0%	0.7%	72%	16%	-14%
Income from operations	**166.7**	**208.6**	**236.7**	**67.8**	**14.1%**	**12.8%**	**12.3%**	**12.4%**	**25%**	**13%**	**15%**
Employee benefits expense	(69.5)	(88.8)	(99.3)	(25.6)	-5.9%	-5.5%	-5.1%	-4.7%	28%	12%	3%
Other expenses	(42.0)	(44.4)	(46.5)	(11.8)	-3.5%	-2.7%	-2.4%	-2.2%	6%	5%	2%
Provision for doubtful debts & w/offs	(26.7)	(17.5)	(34.4)	(10.6)	-2.3%	-1.1%	-1.8%	-1.9%	-34%	97%	24%
Depreciation and amortisation expense	(0.9)	(1.2)	(1.5)	(0.5)	-0.1%	-0.1%	-0.1%	-0.1%	34%	26%	31%
Other Income	11.5	15.3	20.1	0.8	1.0%	0.9%	1.0%	0.2%	33%	31%	-83%
Profit/(loss) before tax	**39.1**	**72.1**	**75.2**	**20.1**	**3.3%**	**4.4%**	**3.9%**	**3.7%**	**84%**	**4%**	**7%**
Tax Expense:											
Current Tax	(9.8)	(18.8)	(17.9)	-	-0.8%	-1.2%	-0.9%	0.0%	91%	-5%	-100%
Deferred Tax	(1.5)	0.3	1.8	-	-0.1%	0.0%	0.1%	0.0%	-122%	435%	-100%
Profit after tax (PAT)	**27.8**	**53.6**	**59.1**	**20.1**	**2.3%**	**3.3%**	**3.1%**	**3.7%**	**93%**	**10%**	**36%**
Yield on own portfolio	*20.1%*	*18.2%*	*19.6%*	*21.0%*							
Cost of funds	*10.5%*	*10.7%*	*12.4%*	*12.3%*							
Spread	*9.6%*	*7.5%*	*7.1%*	*8.8%*							
Net Interest Margin on own portfolio	*10.5%*	*8.4%*	*7.7%*	*9.4%*							
Return on assets	*2.4%*	*3.7%*	*3.1%*	*2.9%*							
Return on equity	*13.2%*	*21.2%*	*17.6%*	*16.6%*							

Source: Audited financial statements for year ended 31 Mar 22, 31 Mar 23 and 31 Mar 24 and provisional unaudited financial statements for the period ended 30 Jun 24

** YoY on an annualised basis*

Key observation

- **RoA and RoE** increased from FY22 to FY23 primarily driven by (i) increase in income from BC portfolio and loan processing fee (ii) decline in write offs routed through the P&L; partially off-set by decline in net interest margin. It further declined from FY23 to YTD25 driven by decline in income from BC portfolio and loan processing fee (ii) increase in provisions and write offs; partially off-set by (i) decline in expenses (ii) increase in net interest margin
- **Yield** declined from FY22 to FY23, reason for which was not provided by the Target. It subsequently increased in YTD25 driven by shift in loan mix to 25%-27% interest bucket (from 8% as at 31-Mar-23 to 63% as at 30-Jun-24)
- Cost of funds increased during the review period driven by (i) increase in market rate of interest (ii) increased borrowings from NBFCs & other financial institutions (from 17% as at 31-Mar-22 to 40% as at 30-Jun-24) which have higher rate of interest than borrowings from banks.

Note: (i) Yield on own portfolio = Interest income/ Monthly average POS (ii) Cost of funds = Interest expense/ Monthly average borrowings (iii) Spread -

PORTFOLIO OVERVIEW

AUM increased from INR 1,806 mn as on 31-Mar-22 to INR 2,755.5 mn as on 31-Mar-24. Subsequent declined as at 30-Jun-24 driven by (i) decline in disbursements in the BC books (ii) deliberately lower disbursements in non-stressed book in Q1FY24.

Overview of books, POS and PAR

Particulars	Disbursments (INR mn)				AUM (INR mn)			
	FY22	FY23	FY24	YTD25	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Stressed books	**118.9**	**130.0**	**196.9**	**-**	**471.3**	**375.4**	**302.3**	**266.1**
Federation settlement	18.7	54.2	14.5	-	19.8	51.4	41.6	37.8
Other stressed books	100.2	75.8	182.4	-	451.5	324.0	260.7	228.3
Non stressed books	**845.4**	**1,478.2**	**1,807.2**	**400.5**	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**
Non stressed A book	830.8	1,420.4	1,769.8	400.3	759.0	1,324.1	1,790.7	1,822.6
● Restructured	5.8	17.5	23.1	0.1	25.2	11.8	24.7	20.0
Federation settlement	8.8	40.3	14.3	0.1	8.8	34.3	23.7	15.4
Sourced as a BC	**436.7**	**675.4**	**419.1**	**56.8**	**542.0**	**776.6**	**614.2**	**536.6**
Total	**1,401.0**	**2,283.6**	**2,423.2**	**457.3**	**1,806.3**	**2,522.2**	**2,755.5**	**2,660.7**

Particulars	PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
Stressed books	**6.1%**	**5.1%**	**3.0%**	**10.0%**	**8.7%**	**7.1%**	**15.4%**	**13.8%**	**11.6%**	**29.2%**	**24.3%**	**8.2%**
Federation settlement	0.7%	0.6%	0.0%	12.3%	8.6%	4.1%	44.2%	39.7%	32.4%	98.5%	83.1%	1.9%
Other stressed books	6.3%	5.3%	3.1%	9.6%	8.8%	7.6%	10.8%	9.6%	8.2%	17.7%	14.5%	9.2%
Non stressed books	**0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.3%**	**0.5%**	**0.0%**
Non stressed A book	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
● Restructured	3.0%	1.9%	1.1%	6.3%	3.8%	2.2%	1.5%	0.4%	0.0%	47.3%	0.1%	0.0%
Federation settlement	0.3%	0.3%	0.0%	0.9%	0.2%	0.1%	1.0%	0.3%	0.2%	100.0%	54.6%	2.2%
Sourced as a BC	**14.8%**	**6.4%**	**1.2%**	**9.0%**	**5.0%**	**3.6%**	**9.1%**	**8.3%**	**7.1%**	**14.0%**	**11.8%**	**9.4%**
Total	**6.1%**	**3.3%**	**1.2%**	**4.3%**	**2.9%**	**2.2%**	**3.7%**	**3.4%**	**2.9%**	**6.7%**	**5.1%**	**2.7%**

Source: Management information & BDO analysis

Basis of preparation:

- Target provided us with the loan level risk-category tagging for loans outstanding as at 30-Jun-24. Per Target, category A cases are those cases which are considered as non stressed loans and category B & C cases are those which are considered as stressed. We used these tagging to bifurcate the book into stressed book and non stressed book at a customer level (i.e. if any loan of the customer is tagged as B or C, she is considered as a stressed customer and all her loans are tagged under the stressed book).
- Customers with no loan outstanding as at 30-Jun-24, for whom the above tagging was not available, were tagged stressed/ non-stressed by the Target; cases where Target has either provided facility of moratorium / restructuring / top up loans to the borrowers were considered as stressed. We identified few cases in category A that were provided facility of moratorium / restructuring / top up loans which we have shown separately under the non stressed book ("● Restructured")
- Members whose loans were partially settled by the federation are tagged separately. Target provided loan wise details of settlements by federation from 30-Apr-23 to 30-Jun-24, for loans outstanding as at 30-Jun-24. Refer page 36 for further details.
- We noted discrepancies in the reported DPDs for the 'stressed' book and book sourced as BC, for which no explanation or revised DPDs were provided (refer page 12-14 for details). Accordingly, the PAR rates in the report for the 'stressed' book and book sourced as BC may not be accurate. For the purpose of this report, this entire 'stressed' book needs to be considered as portfolio of delinquent customers.

Key observations:

- AUM of the Target increased from INR 1,806 mn as on 31-Mar-22 to INR 2,755.5 mn as on 31 Mar 24 driven by increase in disbursements in existing branches and disbursements from new branches opened during the review period (23 new branches opened during the review period, of which 20 branches added in Karnataka, 2 branches added in Maharashtra and 1 branch added in Goa). It declined from 31-Mar-24 to 30-Jun-24 driven by (i) decline in disbursements in the BC books from FY24 onwards (ii) deliberately lower disbursements in 'non-stressed book' in Q1FY24 due to Management decision.
- Target explained that disbursements declined in Q1 due to business decision.
- PAR 0+% in restructured non-stress book increased from 3% as at Mar-22 to 47.3% as a 30-Jun-24 driven by stress in cases from branches opened during the review period. However, PAR 90+% declined from 1.1% as at 31-Mar-22 to 0% as a 30-Jun-24. Reasons for these are awaited from the Target.
- Quarterly disbursements in BC books and 'non-stressed' books declined in Q1FY25 v Q1FY24. Further, the PAR rates for these books are on an increasing trend. It is advised to closely monitor these portfolios and to obtain the latest status of the same.

STATE WISE OVERVIEW

Disbursement to the states Maharashtra and Goa were paused in the beginning of FY22 due to CoVID-19 impact and restarted in Q2FY22 and Q4FY22, respectively. Uptick in PAR 0 and PAR 30 as at 30-Jun-24 on non-stressed portfolio in Karnataka and Maharashtra indicates early trends of delinquencies.

State-wise disbursemnts, POS and PAR

Particulars	Disbursments (INR mn)				AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	FY22	FY23	FY24	YTD25	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
Stressed books																				
Karnataka	89.4	95.8	99.3	-	263.8	209.2	156.7	135.8	6.2%	4.9%	2.4%	13.4%	11.3%	8.9%	16.7%	14.8%	12.2%	40.4%	32.7%	4.8%
Maharashtra	24.6	32.4	92.5	-	189.7	156.7	139.1	124.8	5.2%	5.0%	3.5%	4.6%	4.4%	3.9%	13.8%	12.5%	10.6%	17.2%	15.2%	11.5%
Goa	4.9	1.8	5.1	-	17.8	9.5	6.4	5.5	13.5%	9.7%	5.7%	24.3%	23.6%	20.9%	17.5%	15.8%	14.7%	26.1%	21.8%	15.6%
Non Stressed books																				
Karnataka	651.5	1,120.5	1,326.2	278.8	618.0	1,046.2	1,343.4	1,340.2	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	1.7%	0.6%	0.0%
Maharashtra	155.4	292.4	361.8	95.5	134.9	264.4	383.3	402.0	0.3%	0.3%	0.2%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.5%	0.0%	0.0%
Goa	38.6	65.3	119.2	26.2	40.1	59.6	112.3	115.9	0.1%	0.0%	0.0%	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Sourced as BC																				
Karnataka	436.7	675.4	419.1	56.8	542.0	776.6	614.2	536.6	14.8%	6.4%	1.2%	9.0%	5.0%	3.6%	9.1%	8.3%	7.1%	14.0%	11.8%	9.4%
Total	**1,401.0**	**2,283.6**	**2,423.3**	**457.3**	**1,806.3**	**2,522.2**	**2,755.5**	**2,660.8**	**6.1%**	**3.3%**	**1.2%**	**4.3%**	**2.9%**	**2.2%**	**3.7%**	**3.4%**	**2.9%**	**6.7%**	**5.1%**	**2.7%**
Common size																				
Karnataka - 58 branches	84%	83%	76%	73%	79%	81%	77%	76%												
Maharashtra - 23 branches	13%	14%	19%	21%	18%	17%	19%	20%												
Goa - 3 branches	3%	3%	5%	6%	3%	3%	4%	5%												

Source: Management information & BDO analysis

Note: Above analysis is presented on overall book

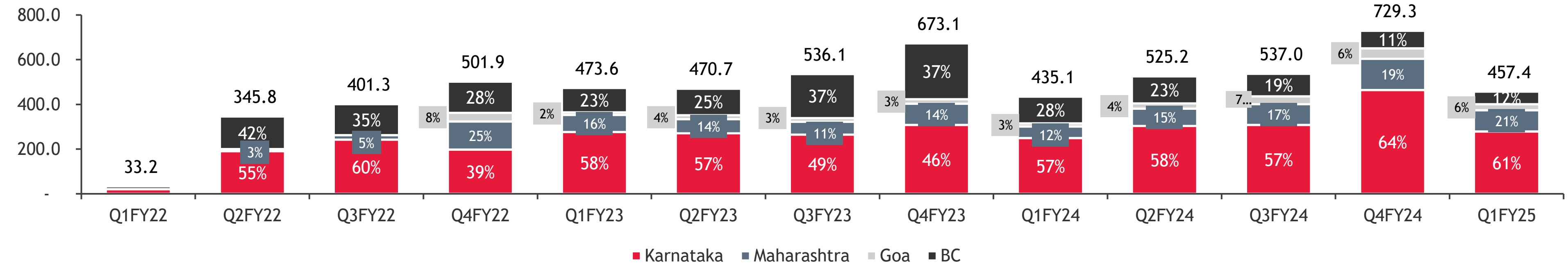
Key observation:

- Disbursements increased primarily driven by increase in the state of Karnataka due to opening of new branches (23 new branches opened during the review period, of which 20 branches added in Karnataka, 2 branches added in Maharashtra and 1 branch added in Goa). Disbursement to the states Maharashtra and Goa were paused in the beginning of FY22 due to CoVID-19 driven stress and was re-started in Q2FY22 and Q4FY22 respectively. Disbursement mix of Maharashtra and Goa increasing from 25 % in FY22 to 30% in YTD25.
- PAR 0+% increased in Karnataka for the 'non-stressed' book from 0.1% in 31-Mar-22 to 1.7% in 30-Jun-24. Management explained that this is on account of draught situation which impacted collections during Q1FY25 resulting in defaults.

QUATERLY STATE WISE DISBURSEMENT

Disbursements increased mainly driven by increase in disbursements in existing branches and disbursements from new branches opened during the review period (23 new branches opened during the review period, of which 20 branches added in Karnataka, 2 branches added in Maharashtra and 1 branch added in Goa).

Quarterly disbursement trends



Source: Management information & BDO analysis

Basis of preparation:

- The above chart represents disbursements of only the non-stressed book (including stressed A book) and the BC book. Basis discussion with Target's Management, we understand that a few stressed borrowers, were given new loans after closing the existing loans in the system. Disbursements in such cases should only be included to the extent of incremental disbursements. Since, we were not provided with details of such cases and incremental disbursements, we couldn't adjust the disbursements for the same

Key observation

- Quarterly run-rate of disbursements increased during the review period mainly driven by increase in disbursements in existing branches and disbursements from new branches opened during the review period (23 new branches opened during the review period, of which 20 branches added in Karnataka, 2 branches added in Maharashtra and 1 branch added in Goa).
- Disbursements increase in Q4 of every FY due to general industry push trend for meeting targets

Karnataka

- Target explained that all the customers sourced in Karnataka are federation members.
- Decline in disbursements noted during Q4FY22 i.e. in the month of Jan 2022 and Feb 2022. Management explained that this was due cautions disbursement in that period as customers were not repaying the loans under mis-influence from local leaders/influencers.
- Target explained that disbursements declined in Q1 of every year as a business decision.

Maharashtra

- Disbursements were paused in the beginning of FY22 due to CoVID-19 impact and were re-started from Q2FY22. Target stated that Maharashtra had month-on-month variations in disbursements during FY22 and FY23 due to political influence and instability in some region, particularly in Kolhapur and Sangli districts, which impacted the disbursements.

Sourced as BC

- Disbursements declined from INR 119 mn in Q1FY24 to INR 56.8 mn in Q1FY25. Target explained that this was driven by (i) they were in the process of re-negotiating the FLDG terms with Jana bank and didn't want to create more exposure till then (ii) change to a more stringent underwriting policy from Jana Bank resulting in lower acceptance rate (iii) partnership with IDBI Bank was terminated due to higher time taken to disburse loan to customer after sourcing, due to which IDF was losing customers (iv) overall slowdown in the market

COLLECTION EFFICIENCY

Lower collection efficiency noted up to Q1FY23 due to CoVID-19 impact. Collection efficiency declined in Q4FY24 and Q1FY25 in Karnataka state which the Management explained was an industry wide impact.

Collection Efficiency - State Wise

Particulars	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23	Q2FY23	Q3FY23	Q4FY23	Q1FY24	Q2FY24	Q3FY24	Q4FY24	Q1FY25
Karnataka	47.3%	76.8%	71.9%	80.7%	83.9%	88.9%	94.5%	95.3%	96.1%	97.3%	97.3%	96.7%	96.4%
Maharashtra	16.9%	40.4%	39.1%	49.1%	56.2%	72.6%	83.7%	90.7%	93.0%	94.8%	94.7%	94.6%	94.6%
Goa	53.8%	71.9%	68.8%	79.4%	82.4%	87.9%	93.6%	95.0%	97.0%	98.3%	98.3%	98.5%	98.7%
Overall	**33.8%**	**67.0%**	**63.0%**	**72.9%**	**77.4%**	**85.4%**	**92.2%**	**94.3%**	**95.5%**	**96.8%**	**96.8%**	**96.3%**	**96.1%**

Source: Management Information & BDO Analysis

Basis of preparation and data limitation:

- Collection efficiency is prepared for on-book portfolio. The collection efficiency indicated in the above table has been computed by considering current month collection / current month due.

Key observations:

- Lower collection efficiency was noted up to Q1FY23 across all branches due to Co-VID19.
- Collection efficiency declined in Q4FY24 and Q1FY25 driven by lower collections in Karnataka. Management explained that this was an industry wide impact.

PROVISION

Target has created provision in line with the RBI NBFC MFI guidelines.

Provision as at 30-June-24 INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
1% of the POS (A)	**13.7**	**18.6**	**22.1**	**22.0**
Substandard				
91-180 days	2.1	1.9	1.9	0.45
more than 180 days	1.1	12.7	13.0	21.1
Total (B)	**3.2**	**14.6**	**14.9**	**21.5**
Higher of (A) or (B)	**13.7**	**18.6**	**22.1**	**22.0**
Provision made in FS	**18.9**	**18.9**	**22.1**	**27.1**

Source: Management information & BDO Analysis

Note:

- As per RBI NBFC MFI guidelines, Target is required to create provision of higher of (a) 1% on the outstanding portfolio or (b) 50% of the aggregate loan instalments which are overdue for more than 90 days and less than 180 days and 100% of the aggregate loan instalments which are overdue for 180 days or more.

WRITE-OFF ANALYSIS

Company had written off INR 122.1 mn since inception of which INR 87.3 mn was written off during the review period.

Disbursement year wise write off during the review period

Disbursement year	Write off in				Total write-off
	FY22	FY23	FY24	YTD25	
FY15	-	-	-	-	-
FY16	-	-	-	-	-
FY17	-	-	-	-	-
FY18	0.8	-	-	-	0.8
FY19	6.1	1.1	2.0	0.7	9.9
FY20	19.0	18.9	11.2	3.6	52.7
FY21	0.8	10.6	4.2	0.7	16.2
FY22	-	1.4	6.0	-	7.4
FY23	-	-	0.2	-	0.2
Total	**26.7**	**32.0**	**23.6**	**5.0**	**87.3**

Source: Management information & BDO analysis

Write off since inception INR mn

Write off in:	Total
FY18	5.3
FY19	7.9
FY20	1.4
FY21	20.3
FY22	26.7
FY23	32.0
FY24	23.6
YTD25	5.0
Total	**122.1**

Source: Management information

State wise write off INR mn

Write off in:	Karnataka	Maharashtra	Goa	Total	% Total
FY18	3.8	1.5	-	5.3	4%
FY19	3.7	4.2	-	7.9	6%
FY20	0.1	1.4	-	1.4	1%
FY21	10.6	9.8	-	20.3	17%
FY22	13.8	12.9	-	26.7	22%
FY23	16.7	14.9	0.4	32.0	26%
FY24	14.1	8.5	0.9	23.6	19%
Q1FY25	3.1	1.9	-	5.0	4%
Total	**65.9**	**55.0**	**1.3**	**122.1**	**100%**

Source: Management information

Note: Write offs analysis is prepared on on-book portfolio

Key observations

- Target has written off INR 122.1 mn worth portfolio since inception.
- Write-offs in Maharashtra were higher in spite of lower disbursement mix. Management explained that this is on account of higher stress due to Covid-19 and political interference in some of the districts of Maharashtra.
- As per companies policy loans with more than 180 DPD should be written off. However, due to lower net worth and profitability, Target has not written off cases which are more than 180 days as on 30-Jun-24
- Target was able to recover c. INR 2.8 mn (i.e. 2.2 % of the write-offs till date) during the review period, indicating lower recovery rate once the portfolio is written off. We were not provided with loan ID wise recovery data.
- We noted 29 cases of stressed and 31 non stressed books where, written off customers were disbursed another loan during the review period. No specific reason was provided by Target as at report date.

SETTLED THROUGH FEDERATION

During the review period, c. 232.6 mn was settled through federation of which c. 119.7 mn (c.51%) was settled under guarantee scheme; average % of loans settled through federation were higher in FY22 driven by CoVID-19.

Particulars	Amount (in INR mn)				Count of loans				Common size %			
	FY22	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25
Remittance towards closure of loan accounts	23.9	22.8	52.6	13.6	4,967	4,535	9,731	2,747	27%	42%	74%	70%
Remittance under Guarantee Scheme	63.6	32.0	18.1	5.9	15,107	6,173	3,689	1,117	73%	58%	26%	30%
Total	**87.5**	**54.8**	**70.7**	**19.5**	**20,074**	**10,708**	**13,420**	**3,864**	**100%**	**100%**	**100%**	**100%**

Source: Management information

INR mn

Particulars	FY22	FY23	FY24	YTD25
Opening POS	842.8	927.6	1,288.9	1,512.8
Average yearly total settled	11.4%	5.0%	5.3%	1.7%
Average yearly guarantee settled	8.3%	3.0%	1.3%	0.5%

Source: Management information & BDO Analysis

Savings in Federation as on 30-06-2024

Particulars	Karnataka	Maharashtra	Total (INR mn)	POS (INR mn)	PAR 0+%	PAR 90+%
Non stressed books	181.1	1.0	182.2	1,323.2	1.4%	0.0%
Stressed Books	2.7	0.0	2.7	22.1	87.6%	0.3%
Total	**183.8**	**1.1**	**184.9**	**1,345.3**	**2.8%**	**0.0%**
Total - Karnataka	**-**	**-**	**-**	**1,476.0**	**5.3%**	**0.5%**

Source: Management information & BDO analysis

Basis of preparation:

- We were provided with (i) loan ID wise listing of the amount settled from April-23 to June-24 for those cases which were outstanding as on 30-Jun-24 (Loan ID wise data pertaining to prior periods was not provided to us) (ii) We were provided with month wise amount settled towards closure of loan accounts and under guarantee scheme for the review period. We have calculated average yearly 'total settled' and 'guarantee settled' by taking it as a % to opening POS of Karnataka state and used 12 months average to arrive at the number.
- We were not provided with the details of total amount settled by Federation from inception till report date and we don't know if only up 20% has been settled or more than that since inception.

Key observations:

- Target explained that the IDF federation sources its members from the state of Karnataka and Maharashtra. These customers open a savings account with the federation and are then provided loan facilities by the Target. Target has signed a letter of undertaking ('LOU') with the federation where in the federation will settle the dues of the borrower (i) to close the borrower's loan pending last 2-3 instalments by adjusting their respective savings balance or (ii) in case the borrower has turned NPA (i.e. remittance under guarantee scheme). As per the LOU, the federation will bear the lower of (i) 20% of such loan disbursed or (ii) the amount of default.

Key trends

- Average % of loans settled through federation under guarantee scheme were higher in FY22 driven higher stress due to CoVID-19. It further decline in YTD25 due to lower stress.
- Potential investor should (i) legally evaluate the exposure of target with the federation and its customers (ii) all the savings balances of federation should be repaid before the transaction (iii) commercially evaluate the going forward sourcing strategy and how they will independently source customers.

REPEAT LOANS

c. 35.7% of the loans disbursed during the review period were repeat loans disbursed to existing customers; Out of the above, 487 loans were made to customers who were delinquent at the time of disbursal of the repeat loan (aggregating to INR 16.5 mn)

Repeat loan analysis

Month group	No of loans ids	Disbursed amount (INR mn)	Overall										Non stressed book repeat loan									
			No of loans ids					Average ticket size					No of loans ids					Average ticket size				
			0 dpd	1-30 dpd	31-60 dpd	61-90 dpd	>90 dpd	0 dpd	1-30 dpd	31-60 dpd	61-90 dpd	>90 dpd	0 dpd	1-30 dpd	31-60 dpd	61-90 dpd	>90 dpd	0 dpd	1-30 dpd	31-60 dpd	61-90 dpd	>90 dpd
0-1 month	103	4.9	96	4	-	2	1	48,417	40,500	-	9,000	70,000	44	-	-	-	-	60,795	-	-	-	-
1-2 months	112	6.2	106	3	-	1	2	55,774	47,667	-	40,000	35,000	74	-	-	-	-	60,986	-	-	-	-
2-3 months	176	11.0	173	1	-	-	2	62,358	70,000	-	-	52,500	152	1	-	-	-	60,428	70,000	-	-	-
3-6 months	681	40.4	667	5	5	3	1	59,655	39,000	51,000	36,000	40,000	547	3	4	-	-	62,505	46,667	48,750	-	-
6-9 months	1,381	76.5	1,361	9	5	-	6	55,450	55,333	50,000	-	42,000	1,278	2	4	-	2	56,290	65,000	50,000	-	35,000
9-12 months	2,892	166.2	2,861	11	7	3	10	57,618	40,909	40,571	39,333	47,800	2,856	3	1	-	6	58,965	49,667	35,000	-	42,500
12-16 months	8,475	544.9	8,348	34	15	18	60	64,779	36,559	34,200	30,833	30,467	8,551	14	5	1	8	65,317	42,071	39,400	43,000	35,500
above 16 months	22,753	1,313.5	22,474	30	21	19	209	58,059	42,667	28,286	34,316	29,641	14,995	9	6	5	32	68,810	43,556	30,667	38,000	34,531
Sub Total	**36,573**	**2,163.5**	**36,086**	**97**	**53**	**46**	**291**	**59,498**	**41,660**	**35,774**	**32,413**	**31,058**	**28,497**	**32**	**20**	**6**	**48**	**66,015**	**45,938**	**40,550**	**38,833**	**35,708**
New loans	65,733	2,813.6																				
Total loans	**1,02,306**	**4,977.1**																				

Source: Management information & BDO analysis

Basis of preparation

- The repeat loan analysis presented in the above table has been done for the all the repeat loans disbursed during the review period. We have presented repeat loan analysis at an overall portfolio level which includes all on-book loans.
- A loan has been tagged as a repeat loan, if the customer has taken cycle 2 or above loan during the review period. The repeat loans have been bifurcated under various month groups on the basis of the period between the last loan taken by the customer (not necessarily Cycle 1 loan) and the subsequent repeat loan.
- The DPD on date of repeat loan represents the customer's maximum DPD for any loan outstanding for the said customer in the month end immediately prior to the month in which the repeat loan was disbursed.

Key observation

- Out of total number of loans disbursed during the review period Target had disbursed 1 c. 35.7% of loans as repeat loan.
- Basis discussion with Target we understand that as per Target's policy, company offers repeat loans to customers with a minimum gap of 16 months between first loans and repeat loan. 2 c. 37.8% i.e. (13,820 loans aggregating to disbursement of INR 850 mn) of the repeat loans were disbursed to customers within a period of 16 months from the disbursement of first loan. Management explained that need based repeat loans were disbursed on customer's request to retain them, post taking all necessary internal approvals by the competent authority.
- Basis discussion with Target we understand that as per Target's policy no repeat loans are provided to customers who had overdue loan as on disbursement of repeat loan. Of the number of repeat loans disbursed during the review period, 3 c. 1% (487 aggregating to disbursement of INR 16 mn) of the loans were disbursed to such customers wherein their earlier loan were overdue. Of this 487 loans, 291 loans had overdue of more than 90 days. Of this 487 loans, 4 106 loans (c. 22%) were disbursed to 'non-stressed' customers'. Management explained that these were select cases where the customer had previously shown good repayment history and had stopped paying her dues after being influenced by some rumors; Repeat loan was provided to retain them, post taking all necessary internal approvals by the competent authority.

CUSTOMER ONBOARDING COHORTS

Higher stress rate noted for customer vintage of prior to FY22 and Q1FY22 driven by CoVID-19. Blended stress rate based on disbursements of FY22 to YTD25 is 7.1%

Overall basis INR mn

Months [A]	Total disbursements [B]	Stressed POS as at Jun-24 (Gross of write-offs) [C]	Stressed rate [D] = [C]/[B]
Prior to FY22	1,995.4	292.57	14.7%
Q1FY22	22.2	2.04	9.2%
Q2FY22	137.6	1.6	1.2%
Q3FY22	236.3	5.5	2.3%
Q4FY22	332.6	7.2	2.2%
FY22	**728.7**	**16.3**	1 **2.2%**
Q1FY23	411.1	9.2	2.2%
Q2FY23	398.6	7.2	1.8%
Q3FY23	297.7	5.4	1.8%
Q4FY23	316.7	9.0	2 2.8%
FY23	**1,424.1**	**30.8**	1 **2.2%**
Q1FY24	171.4	5.3	3.1%
Q2FY24	174.1	4.9	2 2.8%
Q3FY24	173.2	2.9	1.7%
Q4FY24	188.6	0.6	0.3%
FY24	**707.4**	**13.7**	**1.9%**
Q1FY25	121.6	-	0.0%
Total	**4,977.1**	**353.4**	**7.1%**

Source: Management information & BDO Analysis

Note: Above analysis is prepared on on-book portfolio

Basis of preparation:

- [A]. Represents customer onboarding vintage based on the 1st loan disbursement date of the customer.
- [B]. Customer onboarding vintage wise disbursements made during the review period.
- [C]. Customer onboarding vintage wise Stressed POS outstanding as at 30-Jun-24. This stressed POS is inclusive of write offs for the loans disbursed during the review period (INR 87.3 mn).
- [D]. Stressed rate represents customer onboarding vintage wise, what quantum of POS has become stressed

Key observation:

- Blended stress rate for 1 FY22 and FY23 is 2.2%. Up tick in stress rate noted from Q4FY23-H1FY24 indicating higher stress ranging from 2.8%-3.1% on loans disbursed to customers onboarding in recent co-horts.

Credit cost estimate:

- In the absence of correct DPDs, we were unable to estimate the incremental cost based on flow rates or static pool analysis. As an alternative approach, we estimate the expected loss rate by applying the value weighted average of stress rate of recently seasoned customer cohort (customers onboarded between 2 Q4FY23-H1FY24) of 2.9% i.e. the quantum of POS as at 30-Jun-24 that has become stressed from the disbursements to customers of Q4FY23-H1FY24 vintage.

OTHER MATTERS (1/2)

Area	BDO Comments
Qualifying asset compliance	▸ As per the RBI circular of April 2022, the minimum requirement of microfinance loans for NBFC-MFIs is to be maintained at 75 per cent of the total assets where a microfinance loan is defined as a collateral-free loan given to a household having annual household income up to INR 3,00,000. Furthermore, the circular states that only maximum of 50% of the monthly household income shall be towards monthly loan obligations of a household. ▸ Loan dumps provided to us did not include monthly household income or the FOIR ratios to identify non-qualifying assets as at 30-Jun-24. Target represented that the minimum criteria of 75% of the total assets is being fulfilled. On review of sample loan files, we noted no breach in these criteria.
RBI inspection	▸ Per Target's Management, there was no inspection carried out by RBI during the review period. Client is advised to obtain appropriate representations for the same.
ALM	▸ As at 30-Jun-24 Target operated at a cumulative positive asset-liability maturity pattern. ALM is prepared based on contractual maturities. Refer Appendix 6 for the ALM schedule as at 30-Jun-24.
RPT	▸ Target's Management indicated that during the review period there are no other related party transactions except for (i) the salaries & remuneration paid to the KMPs and the directors (ii) preference shares issued to related parties.
CRAR	▸ Target has complied with the minimum requirement of CRAR of 15% during the review period. Refer Appendix 7 for the CRAR of the review period.
Contingent Liability	▸ Target has disclosed contingent liabilities on compulsorily convertible preference shares (INR 6.5 mn) and represented that there are no additional contingent liabilities. Potential investor should cover this in legal diligence.
Fraud cases	▸ Target's Management informed that during the review period 25 fraud cases were identified amounting to INR 9.9 mn as at 30-Jun-24 of which INR 6.7 mn has been recovered. Loan id details of fraud cases were not provided to us as at report date. Further, Management informed that necessary actions has been initiated against the fraud cases. ▸ Target explained that it observed that INR 0.5 mn were sanctioned and disbursed by some staff members where some discrepancies were observed. Salary of such employees was adjusted against this. We were not provided further understanding of this case. This case was not considered as fraud case by the Target

OTHER MATTERS (2/2)

Area	BDO Comments
Voluntary staff welfare scheme	▸ Target has implemented a voluntary Staff Welfare Scheme, allowing all employees of the IDF organization to voluntarily contribute ₹1,000 per month from their salary. This amount is deducted from their salaries if they opt for this scheme. Employees earn c.6% interest on their contributions. These employees can also access loans at an interest rates of c.12-13%. Management explained that there is no formal agreement for the same. Potential investor should legally evaluate this arrangement and any potential liability on the Target.
Insurance commission on BC portfolio	▸ During the review period, Target has earned INR 0.95 mn as share of commission on cross selling of insurance on loans sourced for BC partners. Basis discussion with Target, we understand that Target had not obtained license to act as an insurance broker. We would recommend to legally evaluate the implications of such arrangement.

Section 5

Key supporting analysis

DISBURSEMENT VINTAGE

82% of portfolio as at 30-Jun-24 was disbursed in the last 4 quarters (Q2FY24-Q1FY25). Impact of lower seasoning of the pool with an increase in average interest rate, ticket sized and tenure on the underlying portfolio quality and future delinquencies should be taken into consideration. As at 30-Jun-24, disbursements of H2FY23-Q2FY24 show PAR rates higher than the portfolio average

Disbursement vintage - Non stressed books

Particulars	AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
Prior to FY22	78.7	1.8	-	-	0.8%	0.6%	0.3%	8.8%	8.8%	8.8%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
H1FY22	148.9	16.3	0.0	-	0.1%	0.0%	0.0%	0.3%	0.3%	0.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
H2FY22	565.4	194.9	0.6	0.3	0.0%	0.0%	0.0%	0.1%	0.1%	0.0%	0.4%	0.0%	0.0%	18.5%	18.5%	7.7%
H1FY23	-	466.3	54.3	12.4	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	8.4%	6.0%	0.6%
H2FY23	-	691.1	288.4	180.0	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	3.7%	1.8%	0.1%
Q1FY24	-	-	193.7	148.7	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	2.5%	1.0%	0.0%
Q2FY24	-	-	297.9	246.9	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	2.1%	0.7%	0.0%
Q3FY24	-	-	373.2	323.1	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	1.3%	0.2%	0.0%
Q4FY24	-	-	630.9	561.2	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.7%	0.1%	0.0%
Q1FY25	-	-	-	385.4	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**	**0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.3%**	**0.5%**	**0.0%**

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Prior to FY22	10%	0%	0%	0%
H1FY22	19%	1%	0%	0%
H2FY22	71%	14%	0%	0%
H1FY23	0%	34%	3%	1%
H2FY23	0%	50%	16%	10%
Q1FY24	0%	0%	11%	8%
Q2FY24	0%	0%	16%	13%
Q3FY24	0%	0%	20%	17%
Q4FY24	0%	0%	34%	30%
Q1FY25	0%	0%	0%	21%
Total	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**

82%

Source: Management information & BDO analysis

Note: Above analysis is presented on non stressed book.

BORROWER VINTAGE (1/2)

Customers onboarded post covid have also turned 'stressed'. No specific reason provided was by Target.

Borrower vintage - Stressed books

Particulars	Disbursement (INR mn)				AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
Prior to FY22	84.7	37.5	165.8	-	442.7	287.4	241.6	213.7	6.3%	5.4%	3.2%	9.9%	9.2%	7.9%	10.7%	9.8%	8.3%	14.0%	12.0%	8.2%
H1FY22	5.8	3.3	0.3	-	3.8	3.5	1.5	1.2	16.4%	8.3%	2.5%	16.7%	14.8%	14.1%	47.4%	42.7%	42.4%	86.9%	82.5%	12.1%
H2FY22	28.4	6.7	3.9	-	24.9	17.8	8.9	7.7	1.6%	0.6%	0.0%	20.5%	14.5%	9.9%	37.1%	31.9%	27.8%	88.7%	67.6%	15.0%
H1FY23	-	51.1	5.8	-	-	35.7	19.0	16.3	0.0%	0.0%	0.0%	13.3%	9.1%	4.6%	44.1%	40.3%	39.2%	90.0%	76.0%	13.0%
H2FY23	-	31.6	1.0	-	-	31.0	16.4	14.3	0.0%	0.0%	0.0%	0.2%	0.0%	0.0%	29.4%	26.5%	22.5%	90.5%	75.1%	4.0%
Q1FY24	-	-	8.7	-	-	-	5.6	4.9	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	12.3%	11.3%	9.5%	96.3%	78.3%	1.1%
Q2FY24	-	-	6.9	-	-	-	5.3	4.8	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	34.3%	26.9%	3.4%	94.7%	80.1%	2.5%
Q3FY24	-	-	3.8	-	-	-	3.3	2.8	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	29.0%	14.0%	0.0%	96.1%	56.1%	0.0%
Q4FY24	-	-	0.6	-	-	-	0.5	0.5	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	72.1%	62.8%	0.0%
Q1FY25	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total	**118.9**	**130.0**	**196.9**	**-**	**471.3**	**375.4**	**302.3**	**266.1**	**6.1%**	**5.1%**	**3.0%**	**10.0%**	**8.7%**	**7.1%**	**15.4%**	**13.8%**	**11.6%**	**29.2%**	**24.3%**	**8.2%**
Common Size %																				
Prior to FY22	*71%*	*29%*	*84%*	*0%*	*94%*	*77%*	*80%*	*80%*												
H1FY22	*5%*	*3%*	*0%*	*0%*	*1%*	*1%*	*1%*	*0%*												
H2FY22	*24%*	*5%*	*2%*	*0%*	*5%*	*5%*	*3%*	*3%*												
H1FY23	*0%*	*39%*	*3%*	*0%*	*0%*	*10%*	*6%*	*6%*												
H2FY23	*0%*	*24%*	*1%*	*0%*	*0%*	*8%*	*5%*	*5%*												
Q1FY24	*0%*	*0%*	*4%*	*0%*	*0%*	*0%*	*2%*	*2%*												
Q2FY24	*0%*	*0%*	*4%*	*0%*	*0%*	*0%*	*2%*	*2%*												
Q3FY24	*0%*	*0%*	*2%*	*0%*	*0%*	*0%*	*1%*	*1%*												
Q4FY24	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*												
Q1FY25	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*												

Source: Management information & BDO analysis

Note: Above analysis is presented on the 'stressed' book.

BORROWER VINTAGE (2/2)

Of INR 1,858 mn outstanding as at 30-Jun-24, c. 69% of customers availed borrowings for the first time from Target during the review period and c. 32% did so during FY24-YTD25; As at 30-Jun-24, borrowers onboarded in H2FY23-Q2FY24 show PAR rates higher than the portfolio average

Borrower vintage - Non stressed books

Particulars	Disbursement (INR mn)				AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
Prior to FY22	519.6	495.8	575.2	117.0	511.7	514.4	584.3	582.2	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.1%	0.0%	0.0%	0.7%	0.3%	0.0%
H1FY22	60.8	44.0	33.5	11.9	38.7	36.7	36.2	39.1	0.2%	0.1%	0.0%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.9%	0.4%	0.1%
H2FY22	265.0	90.8	148.4	25.7	242.5	158.0	152.5	145.3	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	1.4%	0.5%	0.0%
H1FY23	-	439.3	263.9	49.6	-	289.7	267.4	256.6	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	1.6%	0.5%	0.0%
H2FY23	-	408.3	114.4	59.2	-	371.4	259.3	248.2	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	2.0%	0.9%	0.0%
Q1FY24	-	-	152.6	10.1	-	-	95.5	83.5	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	3.2%	1.4%	0.0%
Q2FY24	-	-	162.2	5.1	-	-	119.2	102.7	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	2.3%	0.7%	0.0%
Q3FY24	-	-	169.1	0.3	-	-	143.7	124.0	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	1.9%	0.4%	0.0%
Q4FY24	-	-	188.0	-	-	-	181.0	159.8	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	1.1%	0.0%	0.0%
Q1FY25	-	-	-	121.6	-	-	-	116.8	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total	**845.4**	**1,478.2**	**1,807.3**	**400.5**	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**	**0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.3%**	**0.5%**	**0.0%**

Common Size %								
Prior to FY22	*61%*	*34%*	*32%*	*29%*	*65%*	*38%*	*32%*	*31%*
H1FY22	*7%*	*3%*	*2%*	*3%*	*5%*	*3%*	*2%*	*2%*
H2FY22	*31%*	*6%*	*8%*	*6%*	*31%*	*12%*	*8%*	*8%*
H1FY23	*0%*	*30%*	*15%*	*12%*	*0%*	*21%*	*15%*	*14%*
H2FY23	*0%*	*28%*	*6%*	*15%*	*0%*	*27%*	*14%*	*13%*
Q1FY24	*0%*	*0%*	*8%*	*3%*	*0%*	*0%*	*5%*	*4%*
Q2FY24	*0%*	*0%*	*9%*	*1%*	*0%*	*0%*	*6%*	*6%*
Q3FY24	*0%*	*0%*	*9%*	*0%*	*0%*	*0%*	*8%*	*7%*
Q4FY24	*0%*	*0%*	*10%*	*0%*	*0%*	*0%*	*10%*	*9%*
Q1FY25	*0%*	*0%*	*0%*	*30%*	*0%*	*0%*	*0%*	*6%*

Source: Management information & BDO analysis

Note: Above analysis is presented on non-stressed books

BRANCH VINTAGE (1/3)

23 new branches were added during the review period (of which 20 branches added in Karnataka, 2 branches added in Maharashtra and 1 branches added in Goa) resulting in into increase in AUM from INR 1,806.3 mn as at 31-Mar-22 to INR 2,660.8 mn as at 30-Jun-24; As at 30-Jun-24, branches opened in FY20-FY22 show PAR rates higher than the portfolio average

Branch vintage

Particulars	Disbursement (INR mn)				Number of active branches as per loan dumps				Average POS per branch			
	FY22	FY23	FY24	YTD25	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Prior to FY19	1,081.3	1,561.9	1,668.3	318.8	56	55	55	55	26.6	33.1	34.6	33.5
Branches opened in FY20	194.1	189.8	143.8	28.5	3	3	3	3	73.3	78.3	63.3	60.1
Branches opened in FY21	43.9	106.6	86.8	19.7	2	3	3	3	16.3	31.4	32.0	31.2
Branches opened in FY22	81.7	283.6	222.2	40.3	8	8	8	8	8.2	31.7	32.7	30.8
Branches opened in FY23	-	136.3	245.5	18.9	-	7	7	7	-	16.8	35.7	32.0
Branches opened in FY24	0.1	5.4	56.6	30.9	-	-	6	6	-	-	8.8	12.4
Branches opened in YTD25	-	-	-	0.3	-	-	-	2	-	-	-	0.1
Total	**1,401.0**	**2,283.6**	**2,423.2**	**457.3**	**69**	**76**	**82**	**84**	**26.2**	**33.2**	**33.6**	**31.7**

Source: Management information & BDO analysis

Note: Active branch represents branch which have disbursements during the year and/or portfolio outstanding as at closing dates

Branch vintage

Particulars	AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
Prior to FY19	1,488.2	1,822.2	1,905.6	1,841.8	5.6%	3.1%	1.2%	4.5%	3.0%	2.4%	3.8%	3.4%	2.8%	6.0%	4.8%	2.9%
Branches opened in FY20	220.0	234.9	190.0	180.2	11.9%	5.8%	1.7%	10.0%	6.7%	4.9%	10.7%	9.9%	9.1%	13.4%	12.0%	10.0%
Branches opened in FY21	32.7	94.3	95.9	93.7	0.0%	0.0%	0.0%	0.3%	0.2%	0.1%	1.4%	1.1%	1.0%	5.8%	3.7%	0.1%
Branches opened in FY22	65.4	253.4	261.6	246.5	0.0%	0.0%	0.0%	0.9%	0.6%	0.2%	2.8%	2.4%	2.1%	9.5%	6.3%	0.2%
Branches opened in FY23	-	117.5	249.8	224.1	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.8%	0.6%	0.3%	6.0%	3.3%	0.3%
Branches opened in FY24	-	-	52.6	74.3	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%
Branches opened in YTD25	-	-	-	0.3	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total	**1,806.3**	**2,522.2**	**2,755.5**	**2,660.8**	**6.1%**	**3.3%**	**1.2%**	**4.3%**	**2.9%**	**2.2%**	**3.7%**	**3.4%**	**2.9%**	**6.7%**	**5.1%**	**2.7%**

Source: Management information & BDO analysis

Note: Above analysis is presented on overall portfolio.

BRANCH WISE (2/3)

23 new branches were added during the review period These branches contribute ~ 69% to the portfolio outstanding as at 30-Jun-24. Target informed that they consciously focused on maintaining the portfolio in these matured branches and focused on diversifying their portfolio in new branches opened during the review period. As at 30-Jun-24, branches opened in FY21-FY23 show PAR rates higher than the portfolio average

Branches opened in prior to FY19

- **AUM and disbursement:** Branches opened prior to FY19 includes 34 branches in Karnataka, 20 in Maharashtra and 2 in Goa. **Under-performing branches:** Following were the branches opened prior to FY19 having higher 'stressed books' as on 30-Jun-24.

Branch opened prior to FY19

Particulars	State	Total Disbursement				Total AUM as at 30-Jun-24	Stressed books as at 30-Jun-24		
		FY22	FY23	FY24	YTD25		AUM	PAR 0+%	PAR90+%
071 - Sangola	Maharasthra	11.5	27.1	33.6	2.9	35.4	49.5%	23.3%	9.1%
029 - Pandharpur	Maharasthra	13.0	24.5	38.6	7.1	43.2	39.8%	12.1%	6.1%
015 - Kurduwadi	Maharasthra	8.8	22.6	40.0	6.7	41.5	33.4%	26.6%	22.1%
075 - Indapur	Maharasthra	5.1	10.5	23.0	5.7	27.0	40.3%	30.6%	25.5%
035 - Tipatur	Karnataka	23.3	37.9	35.8	2.6	38.4	24.8%	64.9%	2.2%
070 - Karmal	Maharasthra	12.3	12.3	31.3	7.6	34.0	27.2%	29.6%	27.2%
017 - Hubli	Karnataka	46.5	60.9	68.1	11.1	72.2	11.7%	26.5%	8.3%
081 - Shimoga	Karnataka	1.1	-	9.2	-	7.5	99.5%	1.0%	0.9%
076 - Huvinahadagali	Karnataka	3.8	-	6.2	-	7.0	100.0%	1.1%	0.9%
068 - Kadegaon	Maharasthra	0.1	-	0.7	-	6.6	100.0%	0.0%	0.0%
026 - Tumkur	Karnataka	14.5	11.6	29.1	6.0	32.4	18.3%	11.7%	0.0%
064 - Islampur	Maharasthra	1.0	-	-	-	5.6	100.0%	0.0%	0.0%
063 - Sangli	Maharasthra	0.1	-	0.6	-	5.4	100.0%	0.0%	0.0%
010 - Kudligi	Karnataka	2.4	-	4.4	-	5.1	100.0%	0.0%	0.0%
007 - Hospet	Karnataka	1.7	-	3.2	-	5.0	100.0%	0.0%	0.0%
Others - 41 branches	Multiple	617.1	804.4	1,049.5	234.1	1,092.8	8.8%	24.0%	7.2%
Own books		**762.3**	**1,011.7**	**1,373.4**	**283.9**	**1,459.3**	**15.8%**	**20.9%**	**8.2%**
035-Tipatur	Karnataka	9.9	-	-	-	0.5	NA	100.0%	100.0%
059-Shikaripur	Karnataka	20.8	11.2	10.1	1.9	17.4	NA	35.8%	32.5%
076-Huvinahadagali	Karnataka	28.1	30.2	11.8	0.8	19.8	NA	25.3%	19.5%
009-Hosdurga	Karnataka	24.1	26.1	12.6	1.6	19.2	NA	15.6%	14.1%
012-H B Halli	Karnataka	25.2	37.9	20.8	2.7	26.3	NA	18.9%	9.8%
007 - Hospet	Karnataka	-	-	-	3.1	30.1	NA	13.2%	9.4%
Others - 17 branches	Karnataka	210.9	444.8	239.5	24.8	269.1	NA	10.6%	5.8%
BC books		**319.0**	**550.2**	**294.9**	**34.9**	**382.5**	**NA**	**13.6%**	**8.8%**
Total		**1,081.3**	**1,561.9**	**1,668.3**	**318.8**	**1,841.8**			

Source: Management information & BDO analysis

Branches opened in FY20

- **AUM and disbursement:** Branches opened in FY20 include 1 branch in Karnataka and 2 in Maharashtra. These branches contribute ~ 4% to the portfolio outstanding as at 30-Jun-24.
- **Under-performing branches:** Branches opened in FY20 show higher stress rates as at 30-Jun-24. Following were the branches opened in FY20:

Branch opened in FY20

Particulars	State	Total Disbursement				Total AUM as at 30-Jun-24	Stressed books as at 30-Jun-24		
		FY22	FY23	FY24	YTD25		AUM	PAR 0+%	PAR90+%
088 - Ugar Kh	Karnataka	41.9	29.3	49.9	10.4	48.2	7.4%	35.1%	14.4%
089 - Aurad Shahajani	Maharasthra	19.7	21.3	11.4	1.2	14.3	20.6%	60.6%	52.7%
091 - Chakur	Maharasthra	14.8	24.5	27.0	4.9	26.4	4.7%	78.5%	26.1%
Own books		**76.4**	**75.1**	**88.4**	**16.5**	**88.9**	**8.7%**	**51.7%**	**30.9%**
092-Tarikere	Karnataka	25.3	6.0	2.2	0.5	8.0	NA	61.1%	59.7%
090-Kampli	Karnataka	26.6	22.1	7.6	2.3	18.4	NA	33.7%	26.7%
Others - 4 branches	Karnataka	65.8	86.6	45.6	9.3	64.9	NA	13.9%	9.3%
BC books		**117.7**	**114.7**	**55.4**	**12.0**	**91.2**	**NA**	**21.5%**	**17.2%**
Total		**194.1**	**189.8**	**143.8**	**28.5**	**180.2**			

Source: Management information & BDO analysis

Branches opened in FY21

- **AUM and disbursement:** Branches opened in FY21 include 3 branches in Karnataka. These branches contribute ~ 5% to the portfolio outstanding as at 30-Jun-24.
- **Under-performing branches:** Branches opened in FY21 show higher stress rates as at 30-Jun-24. Following were the branches opened in FY21:

Branch opened in FY21

Particulars	State	Total Disbursement				Total AUM as at 30-Jun-24	Stressed books as at 30-Jun-24		
		FY22	FY23	FY24	YTD25		AUM	PAR 0+%	PAR90+%
094 - Manvi	Karnataka	32.5	50.0	44.2	11.8	48.6	5.0%	95.5%	1.7%
100 - Kolhar	Karnataka	11.4	56.6	42.5	7.9	45.1	3.6%	89.5%	3.8%
115 - Harugeri	Karnataka	-	0.3	5.2	1.7	6.0	0.0%	0.0%	0.0%
Own books		**43.9**	**106.8**	**91.9**	**21.4**	**99.7**	**1.6%**	**93.2%**	**1.8%**
BC books		**-**	**-**	**-**	**-**	**-**	**NA**	**-**	**-**
Total		**43.9**	**106.8**	**91.9**	**21.4**	**99.7**			

Source: Management information & BDO analysis

BRANCH WISE (3/3)

23 new branches were added during the review period These branches contribute ~ 69% to the portfolio outstanding as at 30-Jun-24. Target informed that they consciously focused on maintaining the portfolio in these matured branches and focused on diversifying their portfolio in new branches opened during the review period. As at 30-Jun-24, branches opened in FY21-FY23 show PAR rates higher than the portfolio average

Branches opened in FY22

- **AUM and disbursement:** Branches opened in FY22 include 7 branches in Karnataka and 1 branch in Goa. These branches contribute ~ 12% to the portfolio outstanding as at 30-Jun-24.
- **Under-performing branches:** Following were the branches opened in FY22 having higher 'stressed books' as on 30-Jun-24.

Branch opened in FY22

Particulars	State	Total Disbursement				Total AUM as at 30-Jun-24	Stressed books as at 30-Jun-24		
		FY22	FY23	FY24	YTD25		AUM	PAR 0+%	PAR90+%
101 - Shorapur	Karnataka	0.2	42.5	22.2	4.1	28.4	16.5%	94.3%	3.3%
098 - Muddebihal	Karnataka	12.9	31.7	24.8	3.1	25.9	13.7%	95.2%	1.8%
096 - Sirwar	Karnataka	13.5	41.8	22.5	5.5	29.5	9.2%	96.6%	0.0%
097 - Maski	Karnataka	21.6	35.3	11.9	2.5	17.5	13.2%	93.8%	0.0%
Others - 4 branches	Multiple	33.5	125.8	109.1	20.9	116.4	0.0%	86.0%	2.6%
Own books		**81.7**	**277.0**	**190.6**	**36.1**	**217.7**	**3.9%**	**93.2%**	**1.8%**
BC books		-	6.6	31.6	4.1	28.8	NA	4.9%	0.7%
Total		81.7	283.6	222.2	40.3	246.5			

Source: Management information & BDO analysis

Branches opened in FY23

- **AUM and disbursement:** Branches opened in FY23 include 7 branches in Karnataka. These branches contribute ~ 8% to the portfolio outstanding as at 30-Jun-24.
- **Under-performing branches:** Following were the branches opened in FY23 having higher 'stressed books' as on 30-Jun-24.

Branch opened in FY23

Particulars	State	Total Disbursement				Total AUM as at 30-Jun-24	Stressed books as at 30-Jun-24		
		FY22	FY23	FY24	YTD25		AUM	PAR 0+%	PAR90+%
106 - Afzalpur	Karnataka	-	14.8	22.1	4.4	24.3	7.4%	93.3%	0.0%
109 - Aland	Karnataka	-	6.4	20.4	0.8	16.8	9.6%	95.4%	0.0%
103 - Chadachan	Karnataka	-	47.6	55.5	2.6	52.2	2.0%	88.4%	0.0%
104 - Indi	Karnataka	-	35.5	26.6	0.9	26.7	3.6%	91.7%	2.8%
105 - Babaleshwar	Karnataka	-	23.7	28.4	0.1	26.7	2.3%	90.7%	0.0%
112 - Devar Hipparagi	Karnataka	-	0.2	9.8	0.8	8.0	4.2%	100.0%	0.0%
Others - 1 branch	Multiple	-	8.1	82.7	9.3	35.4	0.0%	56.1%	0.0%
Own books		**-**	**136.3**	**245.5**	**18.9**	**190.0**	**3.3%**	**92.3%**	**0.4%**
111 - Lakshmeshwar	Karnataka	-	-	11.6	3.5	12.9	NA	9.6%	4.3%
108-Guttal	Karnataka	-	3.9	25.6	2.2	21.1	NA	3.1%	0.7%
BC books		-	140.2	282.7	24.5	224.1	NA	5.6%	2.1%
Total		-	276.5	528.2	43.4	414.1			

Source: Management information & BDO analysis

Branches opened in FY24 and YTD25

- **AUM and disbursement:** Branches opened in FY24 & YTD25 include 6 branches in Karnataka, 2 branches in Maharashtra. These branches contribute ~ 2% to the portfolio outstanding as at 30-Jun-24.

INTEREST RATE WISE

As on 30-Jun-24, mix of portfolio is shifting towards higher interest rate bucket of 25%-27

Interest rate wise

Particulars	Disbursments (INR mn)				AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	FY22	FY23	FY24	YTD25	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
0%-20%	353.8	-	0.4	-	320.0	105.0	0.1	0.0	0.0%	0.0%	0.0%	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
20%-25%	491.6	1,362.6	863.0	-	473.0	1,155.4	936.1	692.5	0.2%	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	2.8%	1.2%	0.1%
25%-27%	-	115.6	943.9	400.5	-	109.9	902.8	1,165.6	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.5%	0.0%	0.0%
Total	**845.4**	**1,478.2**	**1,807.3**	**400.5**	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**	**0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.3%**	**0.5%**	**0.0%**
Common Size %																				
0%-20%	*42%*	*0%*	*0%*	*0%*	*40%*	*8%*	*0%*	*0%*												
20%-25%	*58%*	*92%*	*48%*	*0%*	*60%*	*84%*	*51%*	*37%*												
25%-27%	-	*8%*	*52%*	*100%*	*0%*	*8%*	*49%*	*63%*												

Source: Management information & BDO analysis

Note: Above analysis is presented on 'non-stressed' books.

TICKET SIZE WISE

As on 30-Jun-24, mix of portfolio is shifting towards higher ticket size loans of up to INR 50,000 to more than 50000.

Ticket size wise

Particulars	Disbursments (INR mn)				AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	FY22	FY23	FY24	YTD25	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
0-10000	0.3	0.0	0.1	0.0	0.2	0.0	0.1	0.1	8.0%	8.0%	3.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
10001-20000	1.1	0.2	1.2	0.0	0.7	0.3	0.7	0.5	2.9%	0.0%	0.0%	0.0%	0.0%	0.0%	3.5%	3.5%	0.0%	0.1%	0.1%	0.1%
20001-50000	570.4	1,003.4	785.5	136.4	536.2	909.6	846.0	780.9	0.1%	0.1%	0.0%	0.1%	0.0%	0.0%	0.1%	0.0%	0.0%	1.9%	0.6%	0.0%
50001-80000	258.1	415.1	793.1	181.0	242.0	404.9	775.4	811.4	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	1.2%	0.4%	0.0%
more than 80000	15.5	59.4	227.4	83.1	14.0	55.4	216.9	265.2	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.2%	0.2%	0.0%
Total	**845.4**	**1,478.2**	**1,807.3**	**400.5**	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**	**0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.3%**	**0.5%**	**0.0%**
Common Size %																				
0-10000	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*												
10001-20000	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*												
20001-50000	*67%*	*68%*	*43%*	*34%*	*68%*	*66%*	*46%*	*42%*												
50001-80000	*31%*	*28%*	*44%*	*45%*	*31%*	*30%*	*42%*	*44%*												
more than 80000	*2%*	*4%*	*13%*	*21%*	*2%*	*4%*	*12%*	*14%*												

Source: Management information & BDO analysis

Note: Above analysis is presented on non stressed books.

TENURE WISE

Mix of portfolio with tenure >36 months increased from Mar-23 to Jun-24

Tenure wise

Months	Disbursments (INR mn)				AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	FY22	FY23	FY24	YTD25	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
12	0.2	-	-	-	0.1	0.0	-	-	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
15	6.8	7.2	0.5	-	4.8	4.3	0.3	0.1	0.9%	0.9%	0.5%	0.7%	0.0%	0.0%	1.4%	1.4%	1.4%	0.0%	0.0%	0.0%
18	78.9	32.8	8.6	0.3	64.8	26.3	7.7	5.4	0.2%	0.2%	0.0%	0.1%	0.1%	0.1%	0.3%	0.0%	0.0%	0.8%	0.0%	0.0%
24	698.0	1,275.6	1,347.6	265.5	661.8	1,183.9	1,394.9	1,356.8	0.1%	0.1%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	1.7%	0.5%	0.0%
36	61.6	162.5	450.5	134.8	61.5	155.7	436.1	495.8	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.5%	0.3%	0.1%
Total	**845.4**	**1,478.2**	**1,807.3**	**400.5**	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**	**0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.3%**	**0.5%**	**0.0%**
Common Size %																				
12	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*												
15	*1%*	*0%*	*0%*	*0%*	*1%*	*0%*	*0%*	*0%*												
18	*9%*	*2%*	*0%*	*0%*	*8%*	*2%*	*0%*	*0%*												
24	*83%*	*86%*	*75%*	*66%*	*83%*	*86%*	*76%*	*73%*												
36	*7%*	*11%*	*25%*	*34%*	*8%*	*11%*	*24%*	*27%*												

Source: Management information & BDO analysis

Note: Above analysis is presented on non stressed books.

CYCLE WISE

As at 30-Jun-24, c. 36% of the active loans were disbursed to cycle 1 customers and c. 54% of the active loans were disbursed to cycle 2-4 customers. Disbursement mix of cycle 1 declined from FY23 to YTD25 indicating lower disbursements to new customers, which the Management attributed to higher rejection rates for new customers due to stringent underwriting criterions. Cycle 1 loans shows PAR rates higher than the portfolio average

Cycle wise

Particulars	Disbursments (INR mn)				AUM (INR mn)				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	FY22	FY23	FY24	YTD25	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
1	325.3	835.5	662.3	121.4	302.0	727.2	715.0	666.4	0.1%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	2.0%	0.7%	0.0%
2	249.4	275.9	537.9	125.6	234.5	281.6	526.3	554.5	0.1%	0.0%	0.0%	0.1%	0.1%	0.0%	0.0%	0.0%	0.0%	1.2%	0.3%	0.0%
3	121.6	182.9	278.5	65.9	115.8	177.4	275.2	286.6	0.1%	0.1%	0.0%	0.2%	0.1%	0.0%	0.1%	0.0%	0.0%	1.0%	0.3%	0.0%
4	60.1	81.8	154.4	42.1	57.3	80.3	152.0	167.0	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.0%	0.0%	0.7%	0.3%	0.0%
5	41.6	40.7	73.1	19.1	40.0	42.8	70.9	76.8	0.1%	0.1%	0.0%	0.1%	0.0%	0.0%	0.0%	0.0%	0.0%	0.4%	0.2%	0.1%
6	27.7	32.0	42.9	11.8	26.2	32.8	43.7	46.8	0.0%	0.0%	0.0%	0.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.6%	0.6%	0.0%
7	14.6	17.8	32.4	6.7	13.0	17.4	30.3	31.1	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.5%	0.4%	0.1%
8	3.8	9.1	17.4	4.9	3.2	8.2	17.4	19.1	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.8%	0.8%	0.0%
9	1.1	1.7	6.4	2.5	0.9	1.6	6.1	7.6	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.3%	0.3%	0.2%
10	0.1	0.8	1.7	0.3	0.1	0.7	1.8	1.7	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.1%	0.1%	0.0%
11	-	-	0.4	0.2	-	-	0.3	0.4	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total	**845.4**	**1,478.2**	**1,807.3**	**400.5**	**793.0**	**1,370.3**	**1,839.0**	**1,858.1**	**0.1%**	**0.1%**	**0.0%**	**0.1%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**0.0%**	**1.3%**	**0.5%**	**0.0%**
Common Size %																				
1	*38%*	*57%*	*37%*	*30%*	*38%*	*53%*	*39%*	*36%*												
2	*29%*	*19%*	*30%*	*31%*	*30%*	*21%*	*29%*	*30%*												
3	*14%*	*12%*	*15%*	*16%*	*15%*	*13%*	*15%*	*15%*												
4	*7%*	*6%*	*9%*	*11%*	*7%*	*6%*	*8%*	*9%*												
5	*5%*	*3%*	*4%*	*5%*	*5%*	*3%*	*4%*	*4%*												
6	*3%*	*2%*	*2%*	*3%*	*3%*	*2%*	*2%*	*3%*												
7	*2%*	*1%*	*2%*	*2%*	*2%*	*1%*	*2%*	*2%*												
8	*0%*	*1%*	*1%*	*1%*	*0%*	*1%*	*1%*	*1%*												
9	*0%*	*0%*	*0%*	*1%*	*0%*	*0%*	*0%*	*0%*												
10	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*												
11	-	-	*0%*	*0%*	-	-	*0%*	*0%*												

Source: Management information & BDO analysis

Note: Cycle wise analysis is presented on non stressed books.

MULTIPLE LOANS OUTSTANDING

c. 3% of the borrowers had more than 1 loan outstanding as at 30-Jun-24.

Multiple loans o/s against customer

Particulars	Customer count				AUM (INR mn)				Common size				PAR as at 31-Mar-22			PAR as at 31-Mar-23			PAR as at 31-Mar-24			PAR as at 30-Jun-24		
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%	PAR 0+%	PAR30+%	PAR90+%
1	48,939	60,281	63,471	63,176	1,247.7	1,723.8	2,090.3	2,072.3	98%	98%	97%	97%	2.3%	1.9%	1.1%	2.2%	1.9%	1.5%	2.2%	2.0%	1.6%	4.8%	3.5%	1.0%
2	974	926	1,748	1,802	16.6	21.9	51.0	51.9	2%	2%	3%	3%	6.4%	5.5%	2.8%	4.5%	4.4%	3.7%	2.1%	1.0%	1.0%	5.4%	2.4%	0.7%
Total	**49,913**	**61,207**	**65,219**	**64,978**	**1,264.3**	**1,745.7**	**2,141.3**	**2,124.2**	**100%**	**100%**	**100%**	**100%**	**2.3%**	**2.0%**	**1.1%**	**2.2%**	**1.9%**	**1.5%**	**2.2%**	**2.0%**	**1.6%**	**4.8%**	**3.4%**	**1.0%**

Source: Management information & BDO analysis

Note: Above analysis is presented on on-book portfolio

EMPLOYEE BENEFIT EXPENSES (1/2)

Employee cost increased during the review period primarily on account of increase in employee count due to additions of new branches. Target has a gratuity scheme which is funded through LIC.

Employee benefit expenses

INR mn

Particulars	FY22	FY23	FY24	YTD25
Salaries, wages and bonus	65.9	84.6	94.1	24.7
Contributions to provident and other funds	3.0	3.1	3.6	0.9
Staff welfare and training expenses	0.0	0.0	0.0	0.0
Gratuity	0.6	1.0	1.6	-
Total	**69.5**	**88.8**	**99.3**	**25.6**
KPIs				
Average # of employees	283	336	349	340
Average salary per employee (A) ('000)	246	264	285	301
Increase/ decrease in 'A' %		7.6%	7.8%	5.7%

Source: Management information & BDO analysis

- Employee cost increased during the review period on account increase in employee count due to additions of new branches (increase in number of branches from 69 in as at Mar-22 to 84 in as at 30-Jun-24). Average salaries increased from FY22 to FY24 primarily driven by (i) increase in average salary to KMPs (ii) increase in employee count. For department wise details, refer the next slide
- Target explained that salaries are processed on the last working day of the month.

Increments, incentives and bonus

- The entity follows annual appraisal cycle from Jan-Dec. Increments are generally declared in Q4 of the financial year with effect from the month it was declared in.
- Target explained that performance incentives are paid to employees from risk and operations department, on achievement of Target. Incentives amount is decided based on disbursements and collections made by the risk and operations. Performance incentives are paid basis Management discretion.

Leave Policy:

- Per Target’s Management, Employees cannot encash the leaves and defined leave encashment facility has not been introduced for the employees.

Gratuity Policy:

- The Target has a defined benefit gratuity plan. Every salaried employee who has completed 5 years or more of service are entitled to gratuity benefits upon their resignation or death. The scheme is funded with Life Insurance Corporation under the Group Gratuity Cash Accumulation (GGCA) Plan in the form of a qualifying insurance policy. Target gets annual actuarial valuation conducted by M/s. Saket Singhal. Target explained that the liability as on 30-Jun-24 has not been revalued as Target stated that this is a year end activity.

Key Vacant Position

- Per Management, there were no key vacant position in the entity as at 30-Jun-24

Others

- Per Management, (i) notice period offered to permanent employees is 2 months (ii) full and final settlements are processed post 45 days of resignation.
- Contribution to provident and other funds pertains to contribution towards PF and ESIC. Company had complied with the provisions of PF and ESIC, no material variance was noted.
- Target has implemented a voluntary Staff Welfare Scheme, allowing all employees of the IDF organization to voluntarily contribute ₹1,000 per month from their salary. This amount is deducted from their salaries if they opt for this scheme. Employees earn c.6% interest on their contributions. These employees can also access loans at an interest rates of c.12-13%.
- As we did not receive any employment contracts or offer letters for any Key Management Personnel (KMP) or other employees, we cannot confirm the existence of any payout commitments or non-compete/non-solicit clauses.
- We noted that some employees have their branch as 'Federation'. We recommend that incoming investor to assess the possibility that these employees, recorded under the IDF payroll, may be working for the Federation.

EMPLOYEE BENEFIT EXPENSES (2/2)

Employee cost increased during the review period primarily on account of increase in employee count due to additions of new branches; headcount increased from 269 employees as at 1-April-21 to 345 employees as at 30-Jun-24

Employee Cost Summary

Particulars	Total annual salary cost (in INR mn)				Common Size % (Annual Salary)				Average no. of employees				Avg. monthly fixed compensation (INR in '000s) (A)				YoY % (based on A)			Attrition %			
	FY22	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25	FY23	FY24	YTD25	FY22	FY23	FY24	YTD25
Operations	23.6	29.1	30.5	7.6	36%	33%	32%	31%	91	97	94	89	20	22	24	25	11%	7%	4%	19%	35%	35%	35%
Risk	26.1	40.2	45.6	11.9	40%	46%	48%	48%	154	200	221	214	13	15	15	16	12%	3%	7%	37%	39%	56%	50%
KMPs	6.0	6.6	7.3	2.0	9%	8%	8%	8%	2	2	2	2	250	276	304	326	10%	10%	7%	0%	0%	0%	0%
Finance	6.8	7.9	8.0	2.2	10%	9%	8%	9%	25	26	22	24	22	24	29	29	10%	20%	-1%	13%	25%	26%	13%
IT	1.6	2.0	2.4	0.7	2%	2%	2%	3%	4	4	4	4	34	41	49	56	21%	19%	15%	20%	0%	0%	0%
Others	1.7	1.7	1.3	0.4	3%	3%	2%	1%	7	6	5	7	20	24	21	17	19%	-12%	-17%	0%	35%	17%	33%
Total gross salary as per payroll	**65.8**	**87.5**	**95.1**	**24.7**	**100%**	**100%**	**100%**	**100%**	**283**	**335**	**348**	**340**	**18**	**20**	**20**	**22**	**8%**	**4%**	**6%**	**30%**	**37%**	**52%**	**44%**
Unreconciled difference	(0.1)	2.9	1.0	(0.0)																			
Salaries, wages and bonus as per FS	**65.9**	**84.6**	**94.1**	**24.7**																			

Source: Management information & BDO Analysis

Note: Attrition= Employees left during the year/(Opening employee count+ employees joined during the year).

Department wise employee cost:

- **Operations department** mainly includes head of operations, public relation officer, branch managers, divisional managers, etc. They undertake the functions of sourcing, disbursals and collection of the loans and account for approximately 31-36% of the total employee costs during the review period. Increase in salary cost was driven by increase in employee count due to additions of new branches
- **Risk department** undertake the function of underwriting the loans and accounts for approximately 40-48% of the total employee costs during the review period. Headcount increased from 142 employees as at on 1-Apr-21 to 203 employees as at 30-Jun-24. The department experienced a high attrition rate, ranging between 37% and 56% during the review period. Management maintains that these attrition rates align with industry standards.
- **KMPs** comprise of the Managing Director and Chairman. Increase in average salary cost was driven by annual increments.
- **Finance Department** looks after accounting and auditing work. Despite a reduction in headcount from 26 employees in 1-Apr-22 to 24 employees as on 30-Jun-24 the
- (cont.) increase in salary cost was driven by attritions at lower levels and salary increments for existing staff
- **IT Department** includes all the technical staff. Increase in their salary cost is due to increment in salary.
- **Others** include Administration Staff, Human Resource Department and Head Office expenses.

Attrition

- It was observed that employee attritions increased from 30% in FY22 to 52% in FY24 primarily driven by Risk and Operations team. Management indicated that the attrition observed was in the normal course of business and did not attribute any specific reasons to the same.

OTHER EXPENSES (1/2)

Increase in other expenses is primarily attributable to increase professional fees, travel costs and other administrative expenses majorly due to increase in operations

Other expenses

	INR mn				Common Size				MRR			
Particulars	**FY22**	**FY23**	**FY24**	**YTD25**	**FY22**	**FY23**	**FY24**	**YTD25**	**FY22**	**FY23**	**FY24**	**YTD25**
Rent	6.5	6.6	8.1	2.1	15%	14%	17%	18%	0.54	0.55	0.68	0.71
Other Consultancy /Professional Fees	4.5	6.3	6.2	1.5	11%	14%	13%	13%	0.38	0.53	0.51	0.51
Loan processing fee on borrowings	12.7	9.5	5.9	2.0	30%	21%	13%	17%	1.06	0.79	0.49	0.68
Travelling and conveyance	2.1	3.9	4.3	0.9	5%	9%	9%	7%	0.18	0.32	0.36	0.29
Bank charges	2.9	3.5	4.2	1.0	7%	8%	9%	8%	0.24	0.29	0.35	0.32
Repairs and maintenance	3.0	3.9	5.1	1.1	7%	9%	11%	10%	0.25	0.33	0.43	0.38
Printing & stationary	1.0	2.0	1.9	0.2	2%	4%	4%	2%	0.09	0.17	0.16	0.06
Documentation and evaluation expenses	2.1	1.2	1.7	1.0	5%	3%	4%	9%	0.17	0.10	0.14	0.34
Loan Consultation Fees	0.7	0.8	1.7	0.5	2%	2%	4%	5%	0.06	0.06	0.14	0.18
GST Paid	-	3.0	1.5	0.0	0%	7%	3%	0%	0.00	0.25	0.13	0.01
Insurance	1.2	1.7	1.3	0.7	3%	4%	3%	6%	0.10	0.14	0.11	0.24
CSR Expenses	-	-	1.0	-	0%	0%	2%	0%	0.00	0.00	0.09	0.00
Concurrent Audit Fees	0.8	0.8	1.0	0.2	2%	2%	2%	2%	0.07	0.07	0.08	0.08
Others	4.5	2.2	2.5	0.5	11%	5%	5%	4%	0.38	0.19	0.21	0.15
Total	**42.0**	**45.5**	**46.5**	**11.8**	**100%**	**100%**	**100%**	**100%**	**3.50**	**3.79**	**3.87**	**3.95**

Source: Management information

Rent:

- It represents lease rental expenses paid for the premises of Target's registered office in Bangalore, admin office in Dharwad and branches in Karnataka, Maharashtra and Goa.
- The Target had 69 branches as at 31-Mar-22, 76 branches as at 31-Mar-23, 82 branches as at 31-Mar-24 and 84 branches as at 30-Jun-24
- Increase in lease rental expense over the review period is on account of (i) increase in branches (ii) annual escalations as per agreements.
- Management accounts rent on payment basis and not on straight line basis as recommended by the IGAAP

Professional fees:

- It represents loan arranger fees and audit fees paid to auditor for branch and statutory audit, etc.
- Increase in monthly run rate FY23 onwards was driven by increase in staff hired in on contract basis. We were not provided with details of headcount, department, etc. of these contracted staff.

OTHER EXPENSES (2/2)

Increase in other expenses is primarily attributable to increase professional fees, travel costs and other administrative expenses majorly due to increase in operations

Travelling and conveyance:

- It consists of stay and other travel related expenses paid for staff travel, director's travel and conveyance paid to field executives for loan documentation related work. Management explained that increase from FY22 to FY23 was driven by (i) normalization post CoVID-19 (ii) increase in branch audits requested by lender banks. It further declined in YTD25 which the Management attributed to lower travelling in Q1 due to focus on operational and year end work

Repairs and maintenance:

- It comprises of expenses paid for office maintenance, electricity charges and water charges and other office related expenses. It increased during the review period due to (i) shifting of their registered office at Bangalore (ii) opening of new branches

Printing and Stationery

- It comprises of printing and stationery expense incurred towards day-to-day business-related work. Management attributed the decrease in printing and stationery expense during YTD25 to (i) use of existing stock of printing and stationery instead of fresh purchase (ii) introduction of online printing of documents

GST paid:

- It represents GST expense not allowable as ITC. Management has not reversed ITC for YTD25.

Insurance:

- It represents insurance premium payable towards employee insurance.

CSR expenses:

- CSR provisions have become applicable to the Target only in FY24 as the net profit in the preceding financial year exceeded the statutory limit of INR 5 crores.
- CSR expense was incurred towards infrastructure facilities like computer, furniture, sports item for schools and cooking vessels purchased for community halls.

Concurrent audit fees:

- Fees paid to M/s. RR Kulkarni for conducting monthly concurrent audit during the review period.

Other expenses:

- It includes expenditure relating to communication charges, legal fees, subscription fees, meeting expenses, remuneration paid to auditors, rates & taxes and other miscellaneous expenses paid through the review period. It declined in YTD25 driven by legal Fees, subscription fee and remuneration to auditors

BORROWINGS

As at 30-Jun-24, 60% borrowings were from banks and rest 40% from NBFCs; Borrowing mix of loans from NBFCs increased from 17% as at 31-Mar-22 to 40% as at 30-Jun-24 resulting in increased finance cost during the review period

INR mn

Particulars	Interest rate range (%)	01-Apr-21 Opening	Loan Taken	Loan Repaid	31-Mar-22 Closing	Loan Taken	Loan Repaid	31-Mar-23 Closing	Loan Taken	Loan Repaid	31-Mar-24 Closing	Loan Taken	Loan Repaid	30-Jun-24 Closing
Loan from Banks	9.5%-13%	890.7	740.0	(646.7)	984.0	975.0	(697.9)	1,261.1	795.0	(848.2)	1,207.9	350.0	(174.6)	1,383.2
Loan from NBFCs & Financial institutions	14.5%-16%	282.8	160.0	(229.1)	213.7	550.0	(245.0)	518.6	670.0	(336.3)	852.3	200.0	(123.0)	929.3
Cash credit	12%-12.25%	50.1	-	-	72.0	-	-	53.8	-	-	0.4	-	-	0.2
Total		**1,223.6**	**900.0**	**(875.9)**	**1,269.7**	**1,525.0**	**(942.9)**	**1,833.5**	**1,465.0**	**(1,184.5)**	**2,060.6**	**550.0**	**(297.6)**	**2,312.8**

Source: Management information & BDO analysis

Key observation

- Of the total borrowings as at 30-Jun-24, c. 60% were from banks and balance c. 40% were from NBFCs and other Financial Institutions. For lender wise summary and key terms of borrowings refer Appendix 8.
- Borrowing mix from NBFCs & other financial institutions increased from 17% as at 31-Mar-22 to 40% as at 30-Jun-24; CoF of these borrowings were higher (14.5%-16%) as compared to the loans availed from the banks (9.5%-13%) resulting in and increase in the finance cost of Target.
- Target offered the following security to the lenders:
  - Cash collaterals ranging from 3% - 15% of the principal amount of the credit facility availed.
  - Hypothecation of book debts ranging from 100% – 125% of book debts created out of the respective borrowings
  - Personal guarantee of the directors - Vivekanand N Salimath, Naganagouda M Patil and T V Srikantha Shenoy
- We were not provided with the covenant tracker. However, Target represented that there have not been any covenant breaches. We tested the same based on sample borrowing agreements and sanction letters and did not note any breach of covenants.
- We have checked the repayment schedule and found no discrepancies. Refer Appendix 9 for more details.

Section 6

Appendices

Appendix 1 (1/3)

Engagement letter

The Ruby, Level 9, North West Wing
Senapati Bapat Marg
Dadar (W), Mumbai - 400 028
Tel: +91 22 3332 1600 Fax: +91 22 2439 3700

Private & Confidential

August 06, 2024

To
Midland Microfin Ltd,
The AXIS,
BMC Chowk, G.T. Road,
Jalandhar - 144 001
Punjab, India

Dear Sir,

Re: Engagement of BDO India LLP with Midland Microfin Ltd. (referred as "You"/ "Client") to provide financial and tax due diligence services in relation to a microfinance company (referred to as "Target").

We refer to our discussions for engaging BDO India LLP ("BDO India") for rendering the services as detailed out in this letter of engagement together with the attached schedule and appendices including the Terms of Business ("TOB") specified in the Schedule ("Letter").

1 **Appointment**

1.1 We thank you for giving BDO India the opportunity to render the services to the Client as detailed out in this Letter with effect from the acceptance date of this letter or such other date as may be mutually agreed to between the Client and BDO India (the "**Effective Date**"). We are writing this Letter to confirm various matters that we have discussed previously. We appreciate the time spent by the representatives of the Client with representatives of BDO India till date and the background information provided to BDO India in connection with this assignment.

1.2 This Letter provides the terms and conditions on which BDO India will render the professional services ("**Services**") to the Client.

2 **Background**

2.1 We understand that the Target is a micro finance company based out of South India with an AUM of c. INR 3,000 mn as at 31 March 2024.

2.2 In this regard we have been approached to provide due diligence services on the Target.

3 **Services and deliverables**

3.1 The scope of work is set out in *Appendix A* of this Letter. Our duties and responsibilities shall be limited to the matters expressly referred to in the Schedule.

3.2 During the course of the engagement BDO India may share draft deliverables with the Client. This will be done on the basis that they are 'work in progress' and are subject to revision and alteration.

3.3 Reliance would be placed on the information that may be provided by the Company. We will not independently verify accuracy of tax and financial data provided to us for review. BDO India will exercise all reasonable and proper skill and attention necessarily required to discharge its duty of care to the Company for rendering the Services. However, BDO India's work is not designed to investigate nor interrogate for fraud and/or dishonesty (actual or possible) and accordingly the same shall not be deemed to be a part of BDO India's scope of work unless specifically agreed to between the Company and BDO India.

BDO India LLP, a Indian limited liability partnership firm, is a member of BDO International Limited, a UK company limited by guarantee, and forms part of the international BDO network of independent member firms

3.4 At the completion of our due diligence work, we shall submit a final draft report highlighting significant observations arising out of our work.

3.5 You should note that (unless otherwise agreed by us in writing) we are not responsible for:

(a) Providing legal or other advice outside the scope of the Engagement;
(b) Reviewing (or otherwise being responsible for) the services provided by any other professional advisers retained by you;
(c) Providing any other services beyond the scope of the Engagement.

4 **Provision of specialised services**

4.1 We may, with your consent refer you to associated BDO entities for the provision of specialised services if needed. They will send you separate engagement letters if you choose to use their services. We do not accept any liability for work carried out by any associated BDO entities.

4.2 Should you require, we would be happy to provide transaction support services further to due diligence services. For such transaction support services (e.g. review of the agreements, advising on taxation aspects of the acquisition/transaction and investment / acquisition structure etc.), we would be in a position to estimate the time that we would need to devote once we have made further progress on this assignment. Our costs for this part of the assignment would also be based on the seniority and experience of the persons involved and the time that the job would involve. Accordingly, any requirement and scope and fees of such services will need to be discussed separately.

5 **Personnel**

5.1 The Relationship & Engagement Partner will be Akhilesh Pandey who would be assisted by a team of professionals as required on the assignment. The contact details are as follows:

Akhilesh Pandey
Partner
Telephone: +91 22 2439 3769
Mobile: +91 9004088800
Email address: akhileshpandey@bdo.in

Alok Shah
Director
Mobile: +91 9773534974
Email address: alokshah@bdo.in

6 **Timelines and location**

6.1 BDO India will on a best effort basis commence the engagement within 2-3 days from the Effective Date as agreed in this Letter. This Letter will remain valid till its termination in accordance with the terms mentioned in this Letter.

6.2 The engagement may be carried out at BDO India's office or at any other location as may be mutually agreed between BDO India and the Client.

6.3 The expected timelines for completing the work and deliverables shall be about 4 weeks from the date of receipt of significant information. We will issue a draft report highlighting key observations on completion of our work. The time estimates include the time involved in collection of additional relevant information during the execution of the assignment. For achieving these targets, we assume that we shall receive complete support and co-

Appendix 1 (2/3)

Engagement letter

operation from you and the information required by us would be promptly provided, as any delay in providing the information could delay the completion of the assignment.

For timely completion of work as provided herein, we expect;

(a) availability of Target's management as may be reasonably requested by BDO India;
(b) the Client's timely and effective completion of all their responsibilities as provided in this Letter;
(c) the accuracy and completeness of the assumptions agreed with the Target;
(d) timely access to records, decisions and approvals by Target's management; and
(e) timely delivery of any additional information that we may request from the Target for the purpose of the assignment.

6.4 The Target's failure to provide us with the information referred to above may cause us to delay our deliverables.

7 Fees and Invoicing

7.1

7.2

7.3

7.4 In the event unforeseen circumstances increase our effort requirements in excess of our budgeted time cost, we would discuss these with you and seek your approval for a suitable revision, if appropriate.

7.5 If during the course of the assignment, Client terminates the engagement at any time from the date of commencement of the assignment, then we shall be entitled to fees based on the actual time spent in providing services up to the date of termination and out of pocket expenses incurred till then.

7.6 If it is required by government regulation, authority, subpoena or other legal process to produce documents or personnel as witness or file any affidavit with respect to the Services under this Agreement, the Client agrees to reimburse for our professional time, legal cost and expense as well as reasonable attorney fees and expenses, incurred by us in responding to such requests. Further, the Client agrees to reimburse any legal costs incurred by us in relation to the Engagement.

8 Terms of Business (TOB)

8.1 A copy of our TOB is enclosed. You should ensure that you read and understand these as they contain important terms including those in connection with the scope of the Engagement, your responsibilities, fees, use of our advice and our liability. The TOB, together with the other appendices, form part of the Letter. Should any of the terms included in the TOB (or the appendice(s)) conflict with any of the other terms in this Letter, the latter will prevail.

8.2 You expressly agree and understand that the terms in the Letter apply to all services provided by us pursuant to the Engagement, whether such services were performed or provided before or after the Effective Date. The Letter will remain in place and fully effective until varied or replaced by written agreement between us.

8.3 The reports prepared shall be solely for the purposes of and for use by, intended recipients of the reports, all as contemplated expressly by this letter and neither BDO nor the Client shall be liable for any and all claims from third party arising out of or resulting from or in connection with the Services provided by BDO.

4

Appendix 1 (3/3)

Engagement letter

BDO

We look forward to a long and mutually enriching association with you.

We trust that the terms and conditions of this Letter will meet with your approval. Your continuing instructions in this matter will amount to your acceptance of the terms and conditions provided in this Letter including the TOB. However, as confirmation that the Letter meets with your approval and that you would like BDO India to proceed on this basis, we would be grateful if you would sign the enclosed copy of this Letter and return it to us. You should be aware that the receipt by you of advice from BDO India will be deemed to be on the basis of the terms and conditions of the Letter.

Yours faithfully,

For and on behalf of
BDO India LLP

Partner: Akhilesh Pandey
Date: 06 August 2024

We on behalf of Midland Microfin Ltd. agree and accept the terms set out in this Letter.

Signed on behalf of **Midland Microfin Ltd.**

Authorized Signatory

Place:
Date:

Enclosures:
Appendix A: Scope of Work
Schedule: Terms of Business (TOB)

5

Appendix 2 (1/7)

Scope of our work

Sr No.	Area	Particulars	Status	Limitation
1	General	•Obtain details of history and background of the Company, organizational structure, product portfolio and distribution network. •Read audited financial statements / unaudited management accounts for the period covered. •Reading of key accounting policies used in preparation of the financial statements and comment on the compliance of these policies with Indian Generally Accepted Accounting Principles and RBI. Inquiries on any major changes in accounting policies over the diligence period and understand the impact of changes. •Read management letters issued by the statutory auditors and internal audit reports presented to board for the review period. •Read latest RBI inspection reports and understand nature of fines / penalties levied by the RBI if any, for the period covered. •Read and comment on the capital adequacy statements filed with RBI. •Read key management reports (MIS reports) used for evaluating business performance.	Closed	1. We were not provided with the MIS reports for the review period
2	Material agreements and contracts	Read the following agreements to understand if there any significant financial implications (restricted to top 5 under each category); oLatest shareholders' agreements oSample agreements with customers oBorrowing agreements oBusiness Correspondence Agreements, if any oAgreement with related parties oSecuritization Agreement with Financial Institutions oAgreement with major service/technology providers for platform servers, database, etc. oAcquisition agreements oAgreements with KMP (Key managerial personnel) oAny other significant agreement (Note: We will read and understand the agreement solely from a financial perspective and we are not expected to set out in the report, the key contract terms and conditions and / or comment on any legal and commercial issues.)	Closed	1. We were not provided with the agreements entered with OCPS holder's. Management stated that no share agreement were entered with OCPS holders. 2. Following are the list of agreements which are not applicable: a) Securitization Agreement with Financial Institutions b) Agreement with major service/technology providers for platform servers, database, etc. c) Acquisition agreements

Appendix 2 (2/7)

Scope of our work

Sr No.	Area	Particulars	Status	Limitation
3	Income Statement	• Obtain and analyze the interest income earned in conjunction with the following: o Key revenue streams – Interest income from loans, loan processing fee, assignment / securitization income, etc o Key product categories (vehicle loans, personal loans, business loans, loan against property, SME loans, Gold loans, etc.) • Analyse the annual profitability / return on equity and its components (e.g. Net Interest Margin, Return on assets etc.) • Assess the cost of funds and changes in cost of funds over the historical period in conjunction with the sources of funding • Analyse branch wise concentration, operating expenses ratio and profitability. • Understand the income reversal policy for delinquent customers. • Obtain and analyse the trends related to following operating costs: o Overall trend in operating expenses ratio o Finance costs – Interest expenses and other borrowing costs o Salaries and other benefits o Administration and other expenses - Rent and other occupancy costs, legal and professional fee, travelling and conveyance, training expenses, corporate social responsibility expenses, and other significant administration and selling costs o Obtain a schedule of leased properties covering location, period, rent, escalation, etc and read sample lease agreements and trace deposits to the financial statement (limited to top 5) o Analyse loans written off, if any, pursuant to the death of the borrower. Analyse insurance premiums paid and claims receipts relating to the written off loans. o Segregate P&L provisions into write-offs, provisions, and write backs / recoveries and assess whether the reported provision is adequate. o Perform an analysis of other income including dividend income, interest on fixed deposit, fee income and profit/loss on sale of investments/securities o Analyse profit and loss impact from write-offs, impairments, reserve change and recoveries	Closed	1. Response on interest yield trends 2. Sample lease agreements 3. Borrower wise listing of insurance premium received, premium paid to insurance company, insurance payable 4. Loan ID wise recoveries on write-offs

Appendix 2 (3/7)

Scope of our work

Sr No.	Area	Particulars	Status	Limitation
4	Loan Portfolio	• Understand from the Management processes in respect of identification of members, loan approval, disbursement / collection and credit risk management and the underlying documentation executed for the same for the key product line. • Analyse credit bureau checks and adherence to credit policy in terms of multiple borrowings. • Assess overlap of clients with other MFIs / lenders basis the credit bureau data (to the extent data provided by Management). • Procedure of providing Covid moratorium, one-time restructuring and provisioning made • Obtain monthly loan book / data tape as at latest date and understand key parameters captured for the classification of the loan assets • Analyse drivers of growth in the loan portfolio by key products including fresh disbursement, addition of new branches, addition of new customers, increase in ticket size, increase / decrease in yield, etc • Analyse monthly /quarterly trend on disbursement to assess impact of seasonality • Analyse trends in geography-wise application amount to sanction amounts for the period under review. • Perform analysis of the loan assets (to the extent information is available) by key products, by customer profile, by ticket size, by interest rate buckets, by industry sector, by geography, by maturity profile, by age and by classification with respect to RBI prudential norms (standard assets, sub-standard assets, doubtful assets and loss assets) • Analyse the operational efficiencies including loans per field executive, loans per branch, POS per branch, field executives per branch, Capex and Opex per branch, branch vintage, tenure wise analysis etc. • Analyse static pool trends by disbursement vintage by product; and provisions held towards the loan portfolio • Analyse customer persistency (number of loans closed/number of repeat loans) by key products and by key geography	Closed	1. Details such as customer profile, industry sector, maturity profile and age was not provided in the loan tape.

Appendix 2 (4/7)

Scope of our work

Sr No.	Area	Particulars	Status	Limitation
4	Loan Portfolio	•Analyse the repeat loans / top-up loans given during the review period to identify any trends of evergreening and deviations from repeat loan policy of the Company. Identifying extent of evergreening at a customer level and quantifying subsequent overdue / default from evergreening customers. •Analyse roll rates, forward flow rates and compare the same with competitors to the extent possible •Understand loan loss provisioning policies and accounting for provisions/contingencies with regard to RBI prudential norms. Perform analysis on gross balances, balances 30+% dpd, balances 60+% dpd, balances 90+% dpd , 180+% dpd, outstanding balances and non-performing asset ('NPA') as per RBI norms •Obtain the ECL provisioning working as per IND AS as at 30 June 2024 and summarise the key assumptions forming part of the ECL model and highlight any differences from current provisioning levels •Analyse trends in prepayments for the period covered •Analyse trend in the recoveries from overdue and written-off accounts and provision coverage ratio •Analyse provision and write-off policy - its application and evolution in the period (especially Covid). •Analyse historical collection record against the stated repayment schedule in the form of OTRR ("On-time repayment rate") •Analyse the borrower attrition trends and highlight the discontinuing accounts due to write-off, closed accounts and assignment •Obtain and analyse asset liability management schedule and highlight bucket wise standalone and cumulative positive/negative gaps in assets-liability as at latest period end. •Obtain and analyse list of restructured accounts, if any.	closed	1. ECL is not applicable since Target is following AS. 2. Details of loan level collection not provided 3. Loan ID wise details of date of restructuring, and previous loan ID prior to restructuring, new loan ID and terms of restructuring 4. Corrected DPDs/ response on erroneos DPDs identified in the BC book and stressed book 5. Details of pre-closed loans/ prepayments during the review period 6. Details of incremental disbursements and collections for stressed borrowers where new loan ID was created by closing the earlier loan 7. Loan ID wise listing of amount settled by federation for period FY22 to FY24

Appendix 2 (5/7)

Scope of our work

Sr No.	Area	Particulars	Status	Limitation
5	Managed portfolio	• Understand the different structures used for assignment /securitization transactions and accounting treatment thereof. Analyse the quantum of credit enhancement provided. • Analyse the PAR trends in the assigned portfolio vs own portfolio during the period under review and understand and comment on the FLDG arrangements. • Obtain and analyse the settlement workings for the assigned portfolio.	Closed	1. Bank wise disbursements prior to FY22
6	FDD - Quality of Earnings	• Obtain an understanding of the quality of the Target's earnings for the reporting period with particular focus on - One off/ extraordinary item - Related party transactions - Changes in accounting policies, and - Recurring versus non- recurring transactions - Changes to cost structures, if any.	Closed	
7	Balance Sheet - Share capital	• Understand the shareholding pattern of the Company (pre and post dilutive impact basis) and movement in share capital • Understand the movement in reserve and surplus account. Analyse whether 20% profit has been transferred to statutory reserve fund as per RBI requirements • Obtain and read summary of shareholders' agreements, share purchase agreements and share subscription agreements / investment term sheets	Closed	1. We were not provided with the agreements entered with OCPS holder's. Management stated that no share agreement were entered with OCPS holders.
8	Borrowings	• Obtain a listing of secured and unsecured loans segregated into short term and long-term debt, fund based and non-fund based indicating lender, limit, drawdown to date, repayment terms, interest rates, security, covenants etc. relevant to the business. • Obtain from Management, confirmations for loan balances and reconciliation of the book balances to confirmed balances. • Obtain repayment schedule for the secured and unsecured loans. • Corroborate the covenants with the loan agreements and highlight breach, if any. • Details of securities given for the loans, including guarantees given by the Directors	Closed	1. Covenants tracker for the review period 2. Working of processing charges and consultancy charges for FY22 and FY23 were not provided to us.
9	Fixed assets	• Understand and analyse the components of fixed assets (Physical verification and / or valuation is not envisaged to be a part of the scope of work) including basis of capitalization of borrowing costs, foreign exchange fluctuation, pre-operative expenditure, etc. to the fixed assets during the reporting period. • Analyse the assets taken / given on lease, including related agreements and outstanding lease commitments, if any. • Obtain details of the contracts remaining to be executed on capital account and not provided for and advances made there against, if any. • Comment on the capitalization cost of intangible assets, if any, along with amortization policy followed	Closed	1. Fixed asset register for the review period

Appendix 2 (6/7)

Scope of our work

Sr No.	Area	Particulars	Status	Limitation
10	Investments	• Summarise the investments into long-term and short-term and comment on any impairment to the investments made. • Based on discussions with management, understand further commitments, if any.	Closed	
11	Other current assets	• Obtain and comment on the composition of other current assets. • Obtain and comment on an ageing analysis of other current assets, loans and advances broadly comprising of: – prepaid expenses – advances recoverable in cash or in kind or value to be received – deposits – amounts due from staff and employees – other advances • Comment on recoverability and provisions for uncollectible amounts and write-offs.	Closed	1. Member wise break-up of amount receivable as on 30-Jun-24 from SHG Federation was not provided to us as at report date.
12	Cash and Bank	• Obtain a list of bank balances and bank accounts. • Comment on the bank reconciliation statements and confirmations for significant accounts.	Closed	
13	Trade payables and current liabilities	• Obtain and comment on the composition of current liabilities including accounts payable, acceptances and provisions/accruals. • Obtain and analyze list of trade creditors detailing moneys due, claims and disputes. • Understand and comment on the basis of accruals and other liabilities (including PF and ESI) along with their subsequent clearances. • Analyse the liability on the rental deposits received from Tenants and any other obligations attached to such deposits. • Comment if all significant liabilities are recorded in the proper accounting period • Analyse accruals for staff benefits - gratuity, leave encashment and read supporting actuarial reports.	Closed	1. We were not provided with the ageing of insurance payable expense for the review period.
14	Asset and liability maturity profile	• Analyse the maturity profile of assets and liabilities as at latest date prepared by the Company • Highlight bucket-wise standalone and cumulative negative gaps in the asset liability management	Closed	

Appendix 2 (7/7)

Scope of our work

Sr No.	Area	Particulars	Status	Limitation
15	Contingent commitments	• Obtain a list of significant claims, pending or threatened litigation against the client as at period end. Discuss with management their views on the likely outcome of the cases/claims. • Inquire about the following commitments and contingent liabilities including: – Post retirement benefits / Unfunded pension obligations; – Incentive compensation; – Pending or threatened litigation; – Bills discounted; – Bank guarantee provided; – Leases/hire purchase commitments or contracts; – Outstanding demands of workers unions; – ESOPs granted/available to employees – Litigation of direct taxes and Indirect taxes – Pending claims with direct and indirect taxes – Litigations with the other statutory bodies	Closed	
16	Cash flow and net debt	• Cash flow statements for the period covered and comment on significant trends in cash flow from operations, investing and financing activities • Net Debt analysis as at latest period end.	Closed	
17	Related party transanction	• Obtain a list of related and affiliated companies. Determine the extent and nature of the relationship with the Target management • Obtain and analyse the transactions with each related and affiliated companies during the historical period and understand the rationale behind such transactions • Read contracts with related parties, if any and determine the nature of any commitments or obligations related to related and affiliated companies • Analyse related party transactions quantum to the total transaction	Closed	

Appendix 3

Disbursement reconciliation

Disbursement Mapping INR mn

Particulars	Aug-21	Feb-22	Nov-22	May-23	Jan-24
As per disbursement dump	55.1	122.4	102.4	103.4	154.4
As per bank statements	53.2	126.6	103.8	99.2	158.3
Difference	**2.0**	**-4.2**	**-1.4**	**4.1**	**-3.9**
% Difference	**3.7%**	**-3.3%**	**-1.3%**	**4.2%**	**-2.5%**

Source: Management information & BDO analysis

Appendix 4

Portfolio reconciliation

Particulars	POS (INR mn)			
	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Opening	1,280	1,311	1,779	2,154
Disb	1,010	1,608	2,004	401
Collection	(1,156)	(1,379)	(2,026)	(531)
Interest accrued	296	385	442	184
W/offs	(27)	(32)	(24)	(5)
Closing	**1,403**	**1,894**	**2,175**	**2,203**
As per loan dump	**1,366**	**1,861**	**2,213**	**2,200**
Difference %	**3%**	**2%**	**-2%**	**0%**

Source: Management information & BDO Analysis

Appendix 5

Movement of reserves and surplus during the review period.

Reserves and Surplus INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Surplus / (Deficit) in statement of Profit and Loss				
Opening Balance	14.6	18.9	31.0	57.7
Add: Profit/ (Loss) for the year	27.8	53.7	59.1	20.1
Less: Transfer to Statutory Reserve Fund	(5.6)	(10.7)	(11.8)	-
Less: Transferred to General reserve	(1.0)	(17.5)	-	-
Less:Transferred to Bad Debt Reserve Fund	(5.0)	-	(2.0)	-
Less: Dividend Paid	(11.1)	(13.4)	(18.5)	-
Less: Dividend tax paid	(0.9)	-	-	-
Balance at the End of the year (i)	**18.9**	**31.0**	**57.7**	**77.8**

Source: Management information

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Statutory Reserve				
Opening Balance	32.9	38.5	49.2	61.0
Additions during the year	5.6	10.7	11.8	-
Sub-total (A)	**38.5**	**49.2**	**61.0**	**61.0**
General Reserve				
Opening Balance	-	6.7	24.2	24.2
Additions during the year	6.7	17.5	-	-
Sub-total (B)	**6.7**	**24.2**	**24.2**	**24.2**
Bad Debt Reserve Fund				
Opening balance	-	5.0	0.5	2.5
Transferred from Profit and loss account	5.0	-	2.0	-
Less: Utilized D/y	-	(4.5)	-	-
Sub-total (C)	**5.0**	**0.5**	**2.5**	**2.5**
Securities premium				
Opening Balance	0.8	0.8	0.8	0.8
Additions during the year	-	-	-	-
Sub-total (D)	**0.8**	**0.8**	**0.8**	**0.8**
Balance at the End of the year (A+B+C+D) = ii	**51.0**	**74.7**	**88.5**	**88.5**
Total (i+ii)	**69.9**	**105.6**	**146.2**	**166.3**

Source: Management information

Appendix 6

Asset Liability Maturity Pattern

Asset Liability Management schedule as at 30 June24 INR mn

Particulars	0 to 30 days	1 to 2 months	2 to 3 months	3 to 6 months	6 to 12 months	1 to 3 years	3 to 5 years	More than 5 years	Total
Cash	19	-	-	20	-		-	-	39
Investment	-	-	-	-	-	20	-	-	20
Advances	14	15	17	44	78	51	-	-	220
Other assets	1	-	-	-	2	3	5	1	11
Total Inflow (A)	**33**	**15**	**17**	**64**	**80**	**74**	**5**	**1**	**289**
Capital	-	-	-	-	-	-	22	11	33
Reserves and surplus	-	-	-	-	-	-	-	17	17
Borrowings	13	14	16	42	43	98	5	-	231
Other current liabilities & Provision	1	3			0	5	-	-	9
Total outflow (B)	**14**	**17**	**16**	**42**	**43**	**103**	**27**	**27**	**290**
Excess / (Shortage) (C = A-B)	19	(2)	1	22	37	(29)	(22)	(27)	(0)
Cummulative excess/ (shortage)	19	17	19	41	78	49	26	(0)	

Source: Management information

Appendix 7

Capital Adequacy Ratio

Capital Adequacy Ratio INR mn

Particulars	31-Mar-22	31-Mar-23	31-Mar-24	30-Jun-24
Tier 1 capital (A)	250.4	281.3	306.7	346.8
Tier 2 capital (B)	50.5	142.5	187.5	187.5
Total capital (C=A+B)	**300.9**	**423.8**	**494.2**	**534.3**
Adjusted value of funded risk assets (D)	1,416.9	1,916.7	2,230.4	2,241.8
Adjusted value of non funded and off balance sheet items (E)	-	-	-	-
Total risk weight of assets (F=D+E)	**1,416.9**	**1,916.7**	**2,230.4**	**2,241.8**
Capital to risk weighted assets ratio (CAR) (C/F)	**21.2%**	**22.1%**	**22.2%**	**23.8%**

Source: Management information

Appendix 8 (1/2)

Lender wise summary of borrowings

Particulars	Type	ROI type	Interest Rate	01-Apr-21 Opening	Loan Taken	Loan Repaid	31-Mar-22 Closing	Loan Taken	Loan Repaid	31-Mar-23 Closing	Loan Taken	Loan Repaid	31-Mar-24 Closing	Loan Taken	Loan Repaid	30-Jun-24 Closing
Loan from Banks																
Indian Overseas Bank	PSU	Fixed Rate	12.6%-13%	-	-	-	-	80.0	(7.5)	72.5	150.0	(50.3)	172.2	150.0	(12.7)	309.5
Union Bank of India	PSU	Floating Rate	9.25%-11.65%	143.2	100.0	(111.6)	131.6	70.0	(77.7)	123.8	100.0	(71.0)	152.8	-	(19.3)	133.5
IDFC First Bank	Non-PSU	Both	12%-13%	181.7	50.0	(134.5)	97.2	150.0	(136.2)	111.0	150.0	(111.0)	150.0	-	(37.5)	112.5
Karnataka Grameen Bank	RRB	Floating Rate	12.5%-12.85%	67.2	30.0	(51.6)	45.6	100.0	(33.3)	112.4	75.0	(43.5)	143.9	-	(13.9)	130.0
ESAF Small Finance Bank	SFB	Floating Rate	12.5%-14.4%	-	50.0	(1.0)	49.0	100.0	(27.5)	121.5	50.0	(73.6)	97.9	-	(15.5)	82.4
State Bank of India	PSU	Floating Rate	9%-10.5%	150.4	100.0	(50.4)	200.0	150.0	(127.8)	222.2	-	(130.6)	91.6	-	(23.7)	67.9
Karur Vysya Bank	Non-PSU	Floating Rate	11.50%	-	-	-	-	-	-	-	100.0	(8.7)	91.3	-	(8.8)	82.4
South Indian Bank	Non-PSU	Floating Rate	11.4%-12.6%	-	-	-	-	70.0	(15.8)	54.2	70.0	(36.0)	88.2	-	(11.9)	76.2
Karnataka Vikas Grameen Bank	RRB	Floating Rate	12.5%-14%	39.0	30.0	(34.4)	34.6	50.0	(23.0)	61.6	50.0	(53.3)	58.2	-	(3.4)	54.9
UCO Bank	PSU	Floating Rate	9.5%-10.65%	94.4	50.0	(94.4)	50.0	50.0	(28.2)	71.7	-	(25.5)	46.2	-	(7.3)	38.9
Dhanlaxmi Bank	Non-PSU	Floating Rate	9.5%-12.5%	-	30.0	(0.0)	30.0	60.0	(14.3)	75.7	-	(30.9)	44.8	-	(8.5)	36.3
Canara Bank	PSU	Floating Rate	9.5%-12.45%	65.0	100.0	(63.4)	101.6	-	(59.1)	42.5	50.0	(54.1)	38.4	-	(0.9)	37.5
Jana Small Finance Bank	SFB	Floating Rate	11%-13.5%	140.0	50.0	(52.7)	137.3	95.0	(84.0)	148.3	-	(115.9)	32.4	200.0	(11.3)	221.1
Bank of Baroda	PSU	Floating Rate	9.35%	-	50.0	(14.0)	36.0	-	(19.5)	16.5	-	(16.5)	-	-	-	-
Bank of Maharashtra	PSU	NA	10.80%	-	100.0	(28.9)	71.1	-	(44.0)	27.2	-	(27.2)	-	-	-	-
Lakshmi Vilas Bank	Non-PSU	NA	11.00%	9.8	-	(9.8)	-	-	-	-	-	-	-	-	-	-
Total				**890.7**	**740.0**	**(646.7)**	**984.0**	**975.0**	**(697.9)**	**1,261.1**	**795.0**	**(848.2)**	**1,207.9**	**350.0**	**(174.6)**	**1,383.2**

Source: Management information

Appendix 8 (2/2)

Lender wise summary of borrowings

Particulars	Type	ROI type	Interest Rate	01-Apr-21 Opening	Loan Taken	Loan Repaid	31-Mar-22 Closing	Loan Taken	Loan Repaid	31-Mar-23 Closing	Loan Taken	Loan Repaid	31-Mar-24 Closing	Loan Taken	Loan Repaid	30-Jun-24 Closing
Loan from NBFCs & Financial institutions																
Nabsamruddhi Finance Limited	NBFC	Fixed Rate	13.5%-14.25%	110.0	-	(83.3)	26.7	100.0	(24.7)	101.9	100.0	(43.2)	158.7	-	(15.2)	143.6
Small Industries Development Bank of India	FI	Floating Rate	11%-13%	18.8	160.0	(42.8)	136.0	40.0	(83.9)	92.2	100.0	(47.8)	144.4	150.0	(11.9)	282.5
Nabkisan Finance Ltd	NBFC	Fixed Rate	12.5%-13.5%	88.5	-	(47.2)	41.4	70.0	(51.0)	60.4	100.0	(45.7)	114.7	-	(20.2)	94.6
Arohan Financial Services Ltd	NBFC	Fixed Rate	14.50%	-	-	-	-	-	-	-	100.0	(14.8)	85.2	-	(11.5)	73.7
NABFINS Limited	NBFC	Fixed Rate	15.50%	-	-	-	-	-	-	-	70.0	(15.2)	54.8	-	(8.2)	46.7
Sundaram Finance TL - 1	NBFC	Fixed Rate	15.50%	-	-	-	-	-	-	-	50.0	(3.7)	46.3	-	(5.6)	40.7
Maanaveeya Development & Fin. Pvt Ltd	FI	Fixed Rate	14.75%-16.5%	38.8	-	(38.8)	-	150.0	(66.7)	83.3	-	(50.0)	33.3	-	(12.5)	20.8
Manappuram Finance	NBFC	Fixed Rate	14.25%	-	-	-	-	50.0	-	50.0	-	(23.2)	26.8	-	(6.3)	20.4
Usha Financial Services Ltd	NBFC	Fixed Rate	16.00%	-	-	-	-	-	-	-	30.0	(4.4)	25.6	-	(3.4)	22.2
Habitat Microbuild India Private Limited	NBFC	Fixed Rate	14.50%	26.7	-	(17.1)	9.6	40.0	(9.6)	40.0	-	(17.8)	22.2	50.0	(3.8)	68.4
Grow Money Finance Ltd	NBFC	Fixed Rate	15.50%	-	-	-	-	-	-	-	25.0	(5.1)	19.9	-	(4.0)	16.0
Electronica Finance Ltd	NBFC	Fixed Rate	14.50%	-	-	-	-	-	-	-	30.0	(10.2)	19.8	-	(3.7)	16.1
RAR Fincare Ltd	NBFC	Fixed Rate	16.25%	-	-	-	-	-	-	-	20.0	(5.2)	14.8	-	(2.4)	12.4
Real Tocuh Finance Ltd	NBFC	Fixed Rate	16.00%	-	-	-	-	-	-	-	20.0	(6.2)	13.8	-	(3.9)	9.8
Ananya Fin. for Inclusive Growth Pvt Ltd	NBFC	Fixed Rate	16.00%	-	-	-	-	-	-	-	25.0	(12.5)	12.5	-	(6.2)	6.3
Friends of WWB	NBFC	Fixed Rate	15.50%	-	-	-	-	15.0	(0.2)	14.8	-	(7.6)	7.2	-	(2.0)	5.2
Profectus Capital Private Limited	NBFC	Fixed Rate	14.85%	-	-	-	-	35.0	(9.0)	26.0	-	(23.8)	2.2	-	(2.2)	-
Total - Loan from NBFCs & Financial institutions				**282.8**	**160.0**	**(229.1)**	**213.7**	**500.0**	**(245.0)**	**468.6**	**670.0**	**(336.3)**	**802.3**	**200.0**	**(123.0)**	**879.3**

Source: Management information & BDO analysis

Appendix 9

Borrowings Subsequent Repayments Schedule

Subsequent Repayment Schedule	INR mn	Repayment schedule			
Lender Name	Outstanding as at June-24	FY25	FY26	FY27	FY28 Onwards
Indian Overseas Bank	309.5	90.0	128.5	81.8	9.2
SIDBI	282.5	70.4	99.5	98.0	14.5
Jana Small Finance Bank	221.1	86.2	100.0	35.0	-
NABSAMRUDDHI Finance Limited	143.6	48.8	62.9	31.9	-
Union Bank of India	133.5	58.5	44.8	30.2	-
Karnataka Gramin Bank	130.0	41.9	62.5	25.6	-
IDFC First Bank	112.5	68.8	43.8	-	-
NABKISAN Finance Limited	94.6	60.4	34.2	-	-
Karur Vysya Bank	82.4	25.0	33.3	24.1	-
ESAF Small Finance Bank	82.4	52.4	30.0	-	-
South Indian Bank	76.2	35.0	31.1	10.1	-
Arohan Financial Services Ltd	73.7	37.2	36.5	-	-
Maanaveeya Development and Finance Pvt Ltd	70.8	20.8	-	-	50.0
Habitat Micro Build India Housing Pvt Ltd	68.4	35.5	25.8	7.1	-
State Bank of India	67.9	67.9	-	-	-
Other (14 Lenders)	363.6	217.5	143.4	2.8	-
Total	**2,312.8**	**1,016.1**	**876.4**	**346.5**	**73.7**

Source: Management information